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WILL AI EAT SOFTWARE?



For over a decade, software has come to “eat” the world. But the emergence of new agentic AI tools for software development in recent months has fueled concerns that AI could in turn “eat” software, triggering a sharp re-rating of the software sector as well as other sectors vulnerable to AI disruption. So are these fears about the future of software (and other industries) warranted, or overdone? GS’ Gabriela Borges, Sherlund Partners’ Rick Sherlund, and Cohesity’s Sanjay Poonen generally agree that AI won’t eat software but diverge on how radical a transformation legacy software firms must undergo to remain competitive and how durable incumbent moats are. With all this uncertainty, we then explore what it will take to stabilize share prices (earnings stability), whether stress in software-

exposed credit can catalyze a turn in the credit default cycle (unlikely), and how investors should be positioned, with Sherlund and GS analysts and strategists agreeing: investors should be selective, in software and beyond.

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Legacy software companies aren’t standing still. They are innovating as fast followers... That, combined with their moats, could ultimately leave incumbents in a better place from a soup-to-nuts platform perspective.

- Gabriela Borges

Moats buy incumbents time to adapt, as seen in prior software disruption cycles... But these moats aren’t insurmountable—AI will very likely erode them over time.

- Rick Sherlund

Agentic AI has already proven to be an incredibly powerful tool with the potential to be enormously disruptive... However, just like any technology wave, you must surf this tsunami, or it will demolish you.

- Sanjay Poonen

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The Goldman Sachs Group, Inc.

Macro news and views

We provide a brief snapshot on the most important economies for the global markets

US

Latest GS proprietary datapoints/major changes in views

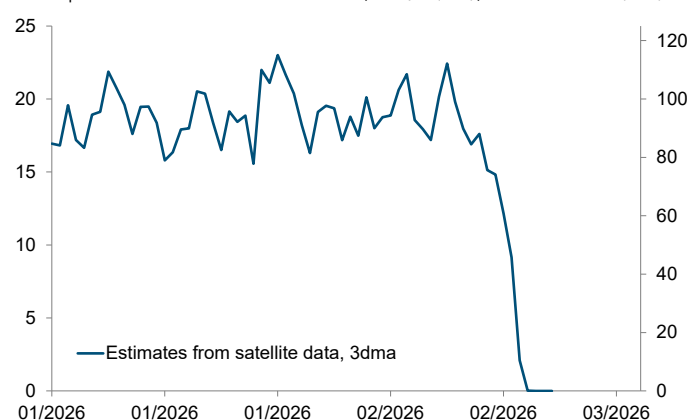
- No major changes in views.

Datapoints/trends we're focused on

- Oil disruptions related to the US-Iran conflict, which pose downside risks to growth and upside risks to inflation, depending on the longevity and severity of the conflict.
- Tariffs; we expect the global tariff that has replaced the IEEPA tariffs to lower the increase in the effective tariff rate since the start of 2025 to 9pp from 10pp.
- Labor market; the Feb jobs report suggests a higher risk that labor demand remains too weak to support the labor market stabilization we had seen in previous months.
- Concerns about nonbank lending, which have risen.

Strait of Hormuz oil transport grinds to a near halt

Oil exports via the Strait of Hormuz, mb/d (lhs), % of normal (rhs)



Source: Kpler, Goldman Sachs GIR.

Japan

Latest GS proprietary datapoints/major changes in views

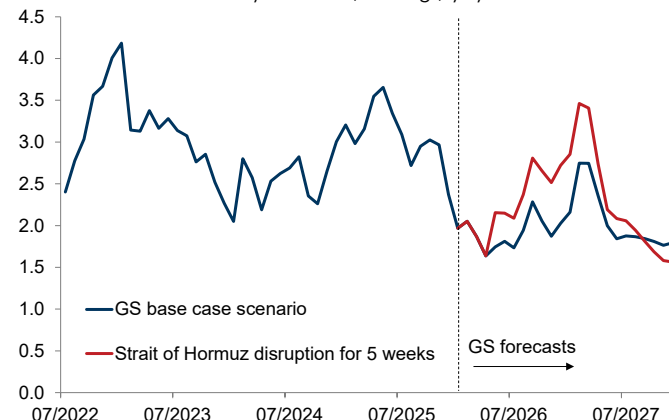
- We recently raised our FY26 average core CPI inflation forecast to 2.1% (from 1.6%) to reflect our higher energy price and USD/JPY forecasts.

Datapoints/trends we're focused on

- LDP's landslide victory in Japan's Lower House elections, which we think will make it easier for the Takaichi Administration to implement its proactive fiscal agenda, posing increased risk to Japan's fiscal position.
- BoJ policy; we continue to expect the next BoJ rate hike in July, and think two recent board member nominations have lowered the probability of an earlier rate hike.
- Shunto negotiations; we expect a base pay rise of 3.2-3.5%.

Rising Japanese inflation

Core CPI inflation rate by scenario, % chg., yoy



Source: Goldman Sachs GIR.

Europe

Latest GS proprietary datapoints/major changes in views

- We lowered our 2026 EA growth forecast and raised our 2026 EA headline inflation forecast to reflect higher energy prices amid the US-Iran conflict, with growth risks skewed further to the downside and inflation risks to the upside.
- We lowered our 2026 UK growth forecast to 1.0% yoy (from 1.1%) and raised our headline inflation forecast to 2.4% yoy (from 2.3%) to reflect higher energy prices; as such, we now expect the next BoE cut in April (vs. March before).

Datapoints/trends we're focused on

- European structural reforms; recent political momentum behind further reform steps to counter Europe's waning international competitiveness is promising, in our view.

Europe: still losing competitiveness

Real exchange rate with China (lhs, index, 2019=100) vs. survey-based assessment of int'l competitiveness (rhs, z-score)



Source: Haver Analytics, Goldman Sachs GIR.

Emerging Markets (EM)

Latest GS proprietary datapoints/major changes in views

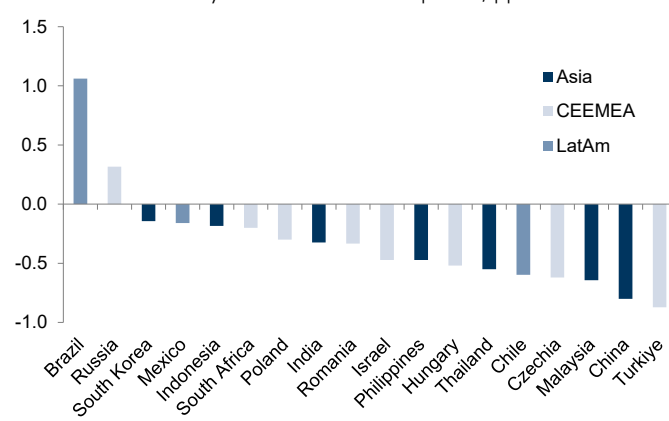
- We lowered our 2026 GDP growth forecasts for Saudi Arabia, Oman, Qatar, Bahrain, Kuwait, and UAE to reflect Strait of Hormuz disruptions and a fall in non-oil economic activity amid the US-Iran conflict, with risks skewed to the downside.

Datapoints/trends we're focused on

- US-Iran conflict impacts beyond the ME; we find that a 10% rise in oil prices would be especially negative for Türkiye and oil importers across Asia, while oil exporters Brazil and Russia are likely to be the biggest beneficiaries.
- China growth; we expect real GDP growth to fall to 4.8% yoy this year (from 5% in 2025), in line with the recently-announced official growth target of 4.5-5% this year.

Higher oil prices: negative for most EMs

Real GDP sensitivity to a 10% rise in oil prices, pp



Source: Goldman Sachs GIR.

Will AI eat software?

For over a decade, software has come to “eat” the world, dominating an ever-wider range of industries. But the emergence of new agentic AI tools for software development in recent months (see pg. 11) has fueled concerns that AI could in turn “eat” software, triggering a sharp re-rating of the software sector (see pg. 9) as well as other sectors vulnerable to disruption from these increasingly powerful and accessible AI tools. So are these fears about the future of software (and other industries) warranted, or overdone?

We ask three long-time software industry watchers: Gabriela Borges, GS US Software analyst, Rick Sherlund, Founder and CEO of Sherlund Partners, and Sanjay Poonen, CEO and President of data security and management firm Cohesity.

Borges explains that “AI is software” because it is code designed to perform tasks. So, rather than eat software, she expects AI to *expand* the software market. But she also expects competition to intensify as AI lowers the cost of code. The main risk for legacy software firms, she says, is that AI-native entrants capture the new AI opportunity while the incumbents are left with the old opportunity—namely, being the “system of record”—that shrinks as a share of the software stack. But Borges notes that legacy firms aren’t standing still but rather “innovating as fast followers.” This, together with moats such as domain experience that new entrants can’t quickly replicate, could ultimately lead incumbents to deliver better outcomes for customers, in her view. But she stresses that they must prove they can leverage their moats to do so, which hasn’t happened yet.

Sherlund shares Borges’ conviction that AI won’t eat software, viewing the current moment akin to past transformational technology shifts that were highly disruptive but ultimately propelled the software industry onto a new growth curve. In his view, software “is being reborn around AI”, necessitating a fundamental re-architecture of legacy systems around large language models (LLMs) and AI agents. While Sherlund acknowledges that incumbent moats can slow disruption, he is skeptical of their long-term durability, arguing that they will buy legacy software firms time rather than guarantee their survival.

And Poonen, for his part, agrees that new AI tools for software development mark a transformative moment for the industry, warning that “just like any technology wave, you must surf this tsunami, or it will demolish you.” In his view, how legacy software firms fare in the AI era will depend crucially on whether they can sustain their current price per user. Firms unable to defend pricing in their core offerings will need to expand and improve their products. But, like Sherlund, Poonen is explicit that just bolting AI agents onto legacy systems may not be sufficient—incumbents must ultimately be willing to rebuild, in some cases from scratch, to remain competitive.

So, with this uncertainty, what will it take to stabilize the sector and the firms most exposed to it? Ben Snider, GS Chief US Equity Strategist, argues that stabilization is unlikely to occur anytime soon, with history suggesting that share prices in industries facing structural disruption (e.g. newspapers) and an associated deep rethink of firms’ terminal value tend to stabilize only when earnings stabilize, underscoring Borges’ point that “the numbers need to contradict the narrative.”

Shamshad Ali, GS senior credit strategist, also expects pressure to persist in the broadly syndicated loan (BSL) market—which software comprises a meaningful share of—as impairment in software-exposed loans will likely be difficult to avoid. But he doesn’t see this as sufficient to catalyze a turn in the credit default cycle, assuming the benign macro backdrop and lower funding cost environment continue.

GS US Financials analysts Alexander Blostein and Michael Vinci are somewhat more positive on alternative asset managers, who have been hit hard given the meaningful software exposure in their private equity and direct lending portfolios. Blostein and Vinci argue that despite this exposure, firmwide risk remains manageable as software lending represents a relatively small share of management fees, software loans are largely senior secured and short duration, and managers have been highly selective in their software investments. But they caution that sentiment and headline risk will likely persist, with slower retail fundraising and accelerating redemption requests potentially weighing on growth despite the durability of underlying earnings streams.

So, how should investors be positioned? Sherlund and Borges agree: this is not an environment for binary bets on software’s survival or collapse, but one that demands selectivity. Sherlund argues that “investors must carefully assess which companies are most exposed to disruption and which possess complex workflows that are more difficult to encroach upon” and views the most promising companies as “those doing the heavy lifting to re-architect to put LLMs at their core and build robust agentic frameworks.” Borges, for her part, is focused on fast followers and firms with defensible moats, seeing select opportunities in applications, infrastructure, and cybersecurity. And GS US Software analysts Adam Hotchkiss and Matthew Martino see value in Vertical Software, Data Infrastructure, and Physical-to-Digital firms.

GS Head of Asset Allocation Research Christian Mueller-Glissmann then digs into how to manage AI risk in portfolios more broadly given the outsized role the technology sector plays in driving US equity valuations and returns. To achieve more balance between innovation and inflation risks, he believes investors may need to continue rotating from capital-light sectors, like technology, to capital-heavy sectors that AI is less likely to disrupt (think telecoms, industrials, and utilities), though he favors being more selective given the aggressive rotations that have already occurred.

Finally, with the “AI scare trade” having moved beyond just software to many other sectors—from consumer internet and information services to insurance, CRE services, financials, and transportation—GS equity analysts assess how new AI tools could impact these industries (see pgs. 21-23). Their key message: while AI could disrupt some firms, many may also benefit, reinforcing the idea that investors should be selective as AI technology continues to evolve.

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Interview with Gabriela Borges

Gabriela Borges is Senior Equity Research Analyst at Goldman Sachs covering US Software. Below, she argues that AI won't eat software and some of the recent price action has gone too far, but legacy software firms will need to prove themselves through better fundamentals.



Jenny Grimberg: How does the current software correction compare to past corrections?

Gabriela Borges: The YTD correction is squarely anchored to terminal value debates: instead of analyzing a change in the near-term demand trendline or the mathematical impact of higher interest rates—as was the case in the 2022 correction—the market is

questioning software moats and business models. While this debate is centered primarily on the application software firms, investors are also questioning whether the infrastructure /security stack could be impacted, and the ROI tied to hyperscaler capex. This is sparking a return to first principles questions about the value the industry provides and the nature of competition. And this is all happening against a backdrop of elevated uncertainty given the rapidly changing technology. So, the end state is difficult, if not impossible, to predict.

Jenny Grimberg: Generative AI technology has been around for several years. So, what's changed recently?

Gabriela Borges: The technology is now beginning to impact enterprises. Most AI chatbot applications that have emerged since ChatGPT's debut have primarily impacted the consumer-facing world. Concerns about how data is maintained, cleaned, and validated have been a huge limiting factor for enterprise AI adoption, and regulatory, compliance, and security frameworks are in the process of adapting to make enterprises comfortable adopting these mission-critical yet invasive technologies. At the same time that progress has been made on these fronts, tools more relevant for enterprise use cases have emerged.

For example, Anthropic's recently-released Claude Cowork product makes its Claude Code product accessible to all knowledge workers, not just coders. And its new large language model (LLM) Claude Opus 4.6 has several domain-specific applications, including in cybersecurity, legal, and financial services. OpenAI debuted Frontier, an enterprise platform for building, deploying, and managing AI agents and is strategically leaning into enterprise monetization. And personal AI assistant OpenClaw launched with capabilities much more powerful than a typical AI chatbot's; usage today is primarily limited to technically-savvy consumers, but this may expand as security and usability challenges are solved. So, AI use cases and the power to execute them has progressed, leading the technology to intersect more with the traditional software world and creating a competitive bake-off dynamic between new entrants and today's software leaders at enterprises now better equipped to utilize the technology.

Jenny Grimberg: So, what's your response to those who argue that AI will "eat" software?

Gabriela Borges: The key question is, what do you have to believe to be bullish on software? You have to believe that the

total addressable market (TAM) will grow more than enough to offset the rise in competition. We feel comfortable that the TAM will grow because, despite the current nomenclature, AI *is* software—it is code designed to perform a set of tasks, which is in many ways simply an extension of the software category. But the competition part of the question is currently the bigger unknown as the rapid pace of technological change is attracting new entrants and a wave of VC money. At the same time, the cost of code is falling, which also catalyzes more competition. In our view, the biggest risk for today's software leaders is that the new opportunity AI creates accrues to these new competitors, and the incumbents are left with outsized exposure to the old opportunity that compresses as a percentage of the total software stack.

One way to illustrate this is with the concept of a "system of record." Many of today's application software leaders are systems of record. These systems, such as Enterprise Resource Planning, Customer Relationship Management, and Human Resources, are the digital backbone of the business, storing the foundational data upon which it operates. AI may find it hard to disrupt these for two reasons. First, the data and historical context sitting in the system of record cannot be extracted holistically and in a way that captures ongoing data updates owing to nuances with meta context and data labeling as well as with stream processing that are proprietary to the system of record and break when extracted, even when using sophisticated APIs. Second, using generative AI technology to replace deterministic logic is expensive and ineffective. Put simply, it makes more strategic and economic sense for new AI entrants to leverage existing systems of record for high quality data and context than to replace them. The question then becomes whether the incumbents can also capture the new opportunity because of this domain experience and context.

Jenny Grimberg: So, is it possible to be bullish on agentic AI and *not* bearish on legacy software?

Gabriela Borges: Yes, because some legacy software firms will likely capture the upside opportunity of AI. We expect some incumbents will be able to prove to customers that their domain experience drives better AI outcomes. It's worth highlighting that incumbents are not static—many have world-class engineering teams that benefit from the same AI productivity gains as start-ups, founder involvement, and strong cash balances to respond to new competitive threats.

But the playbook to capture AI upside is three-fold, and companies must succeed on all three fronts, which won't be easy but is possible. First, companies must minimize any technical debt in their tech stack. That means ensuring all acquisitions integrate nicely into the company's core technology backbone and data flows across different modules and is centralized and uniformly cleaned. Second, companies must understand the holes in their roadmaps. One misconception is that a software leader must be a leader in technology. It can instead be a fast follower, letting the VC

ecosystem fund next-gen technologies, seeing which have durability and the best product market fit, and then acquiring them or using internal R&D to capture that product market fit, which is arguably a better use of capital than spending heavily to develop every new technology in-house.

Third, companies must figure out how to monetize AI, which may require a change in pricing model. For example, instead of charging per customer service representative, a software company could instead charge per successfully completed customer service call. Another type of pricing model is enterprise license agreements (ELAs), which allow customers to access many different products for one price. ELAs have existed in software for some time. Salesforce recently shifted to agentic ELAs (AELAs), giving customers access to their AI and other products. This is important because it shifts the software pricing model more holistically to include agentic value and allows customers to have fluidity between seats and outcomes. Importantly, we don't think customers can reduce seat count and maintain/enhance productivity unless software tools are picking up the slack and delivering more value.

Jenny Grimberg: What will allow the sector to stabilize?

Gabriela Borges: The numbers need to contradict the narrative. The software sector has been in a four-year-long depression; for 14 consecutive quarters, revenue growth has decelerated and the cost of acquiring new customers has risen. So, the numbers need to stabilize. It would be hard to argue that software companies are being disintermediated if they put up better fundamentals, because the only way they can do so in the AI era is by having exposure to the new opportunities and budgets that AI creates. Evidence of this would be clean beat-and-raised quarters and improved unit economics, either on an industry or, more likely, company-specific basis.

Jenny Grimberg: But couldn't that just push out the bear case for software disruption rather than prove it wrong?

Gabriela Borges: This is where moats become important. A company must prove its fundamentals are holding up because it has a defensible moat. One example is data architecture and collection moats, which are a feature of some security software companies and are outside the realm of AI's current and likely future capabilities. Cloudflare, for example, has a physical edge compute network co-located in telecom data centers, meaning that it owns physical computing infrastructure deployed close to end-users. Palo Alto Networks and CrowdStrike directly collect data, either through physical hardware deployed at the network edge or, in CrowdStrike's case, through an agent installed on an end-user device. These are classic examples of network effects that have compounded over 10+ years.

Another defensible moat is domain experience. Software firms with domain experience understand how knowledge workers like salespeople, accountants, and financial analysts work and use their tools owing to years of being embedded in an enterprise. That usage also allows these firms to collect proprietary data, some of which is very nuanced and difficult to abstract. Beneath the surface of Microsoft Copilot, for example, is a highly nuanced graph showing how knowledge workers in a specific enterprise collaborate, which Microsoft has the intelligence to create because it has observed how these workers interact with its software for many years. That is a powerful type of domain experience. Microsoft is also vertically integrated, operating across all three layers of software—the platform, infrastructure, and application layers—which allows it to observe and optimize how enterprise work gets done.

Jenny Grimberg: But couldn't AI native companies replicate those moats over time?

Gabriela Borges: Yes, but time matters, as does whether it makes strategic sense to do so. If everything were frozen in place right now and AI-native firms were given two years to figure out how to replicate domain experience, for example, they probably would. But, again, legacy software companies aren't standing still. They are innovating as fast followers. The incumbents have access to the same AI technology as the AI firms themselves—the LLMs, the coding productivity tools, etc.—and so are benefitting from the same productivity improvements. That, combined with their moats, could ultimately leave incumbents in a better place from a soup-to-nuts platform perspective. They already have the system of record, domain experience, and user interface. Layering AI on top of that gives incumbents everything they need to build a successful agentic solution more powerful than any one new competitor can offer. But ultimately, incumbents will have to demonstrate they can leverage their moats to deliver such an outcome, and so far, that hasn't happened in a broad enough way. So, the pressure is on for these companies.

Jenny Grimberg: Given everything we've discussed, has the recent sharp selloff in software gone too far?

Gabriela Borges: The pace of competition and the level of uncertainty is undoubtedly high. However, two areas of discovery value allow us to be bullish on many software assets. First is the dynamic we've discussed on incumbents being able to leverage domain experience to drive better AI outcomes. Second is the potential for more companies to manage to GAAP earnings, which provide a level of valuation support for the stocks. The level of competitive noise is likely near a local maximum, and the perception vs. reality gap should narrow ahead for the majority of software firms. Looking at it from that lens, some of the recent price action has likely gone too far.

Interview with Rick Sherlund

Rick Sherlund is Founder and CEO of Sherlund Partners LLC, an investment advisory firm focused on the rapidly evolving AI software sector and traditional enterprise SaaS space and is a Senior Advisor at Wedbush Securities. Below, he argues that the software industry is being reborn around AI, necessitating a complete re-architecture of existing software systems.

The views stated herein are those of the interviewee and do not necessarily reflect those of Goldman Sachs.



Allison Nathan: Does the emergence of new agentic AI tools for software development mark a transformative moment for the traditional software industry?

Rick Sherlund: Very much so. The software industry undergoes a major platform shift roughly every 10-20 years as new technologies emerge.

While these shifts can be highly disruptive, they also serve as powerful catalysts for growth, propelling the entire software industry onto new growth curves. We are at such a juncture today, with over 10,000 venture-backed AI-native companies poised to encroach on and disrupt the ~\$400bn global Software as a Service (SaaS) market.

Allison Nathan: How does this compare to past periods of transformation?

Rick Sherlund: Some technology shifts, such as the move to mobile, allowed companies to adapt their existing architecture without fundamentally altering business processes. However, other shifts created true discontinuities that forced companies to completely rebuild their systems from the ground up. The move to relational databases in the 1980s/1990s is a prime example. Companies could not simply tweak their existing frameworks. Instead, they had to reconstruct their architectures entirely—a task akin to demolishing and rebuilding a skyscraper from its foundation. Once-dominant players that were unable to reinvent their platforms to compete with Oracle, which was a leader in promoting relational database architecture, were ultimately left behind. Similar upheavals occurred during the transitions to client-server models and later to cloud computing.

The rise of AI marks a similarly transformative shift, enabling processes that legacy system architectures cannot readily accommodate. Faced with falling valuations, incumbent SaaS providers must overhaul their systems. Remaining competitive in the AI era requires software companies to do much more than add incremental AI capabilities to automate narrow legacy human tasks. While such bolt-on functions may be quicker and look good in the marketing literature, they are superficial and risk missing the more critical and transformative opportunity to rearchitect systems around large language model (LLM) intelligence with reasoning at the core to orchestrate evolving autonomous agents, which can power a new generation of business processes. This shift is not only disruptive for the software industry, but for businesses and sectors globally, representing a fundamental change in technology platforms.

Allison Nathan: What new processes will such AI-enabled platforms be able to achieve?

Rick Sherlund: Traditional SaaS platforms rely on hard-coded workflows and human-centric, menu-driven interfaces. By contrast, AI-based systems feature more conversational interfaces, embedding LLM intelligence at their core to orchestrate agents capable of reasoning, decision-making, and executing tasks previously handled by humans. This enables the integration of entirely new processes. For example, legacy customer support consists of menu-based interactive voice responses (IVR) and irritating cascading menus. Users may frequently scream “representative” in frustration to exit the menu system to connect with a human to address their issue, but even that representative may not be able to do so. And customer support remains costly.

So, companies are turning to AI-powered virtual agents that are available 24/7, multilingual, and trained on comprehensive support materials. These agents run on hyperscaler systems that avoid problems of availability and scalability in periods of peak demand. Agents may also identify that a customer has, say, an older version of a product that may no longer be supported. The agent can then pivot from a cost center support function to a revenue function by recommending a new product. So, AI agents can seamlessly shift from support to sales and billing, orchestrating complex, multistep workflows across disparate systems with minimal human intervention.

As infrastructure improves to provide governance and guardrails, AI agents will increasingly handle autonomous, agent-to-agent processes, with humans overseeing compliance and exceptions. This shift will unlock even more processes and expand automation as systems become more intelligent and capable of advanced reasoning.

Allison Nathan: So, are concerns that AI could “eat” software, which have sparked a major selloff in legacy software companies, warranted, or overblown?

Rick Sherlund: At the end of the day, AI is expressed in software, so declaring software “dead” is misguided. Software will endure, even if the industry looks different than it does today. Certain segments of the software market—particularly applications—will experience considerable disruption, but the broader industry will be reincarnated, adapting to new processes and reaping substantial benefits from the widespread integration of AI capabilities across all business functions. This will lead to a step function increase in productivity that was not possible with traditional SaaS architectures.

Allison Nathan: Won't the rise of "vibe coding" eventually make software replaceable, as some argue?

Rick Sherlund: Concerns that "vibe coding" will make it so simple to write software that software itself becomes trivial are largely unfounded. Coding accounts for only around 15–20% of writing enterprise systems. So, while automating code generation is a major efficiency gain, it is just one aspect of a far more complex process. Designing effective workflows, defining data structures, and establishing secure access controls are all critical and complex tasks. Developers must decide how databases are organized, what data is stored, and how sensitive information, like payroll data, is protected. These challenges extend well beyond basic coding. So, easier coding won't sound the industry's death knell. On the contrary, the industry will likely become more vibrant than ever as firms leverage the new technology to remain competitive. So, the software market is not dead; it is being reborn around AI.

Allison Nathan: How defensible are legacy software moats amid the AI transition?

Rick Sherlund: Complex workflows are a powerful moat, demanding deep domain expertise to design effective interactions with vendors and suppliers in the supply chain. This expertise extends not only to vertical markets but also across horizontal complexities. Data access is another powerful moat, as software companies fiercely protect their customers' data and resist third-party access, recognizing its tremendous value. Scale and distribution moats are powerful as well—building and maintaining an enterprise sales force is extremely costly, so established distribution networks further protect incumbents.

Together, these moats buy incumbents time to adapt, as seen in prior software disruption cycles. For example, larger companies with complex workflows like SAP and Oracle were slower to adopt cloud architecture but eventually did so, leveraging their moats to buy time. So, firms with these protective moats, like the large SaaS incumbents, have more time to adjust amid the AI transition. But these moats aren't insurmountable—AI will very likely erode them over time.

Allison Nathan: How are incumbent software companies responding?

Rick Sherlund: Incumbent software companies are working hard to fundamentally re-architect their systems. Large firms like Salesforce, Workday, and ServiceNow—who were disruptors in the shift from client-server to the cloud—are now integrating LLMs into the core of their systems and developing agentic frameworks to support intelligent, autonomous workflows. Having been disruptors themselves, these vendors recognize that major technological shifts require comprehensive transformation, not just superficial bolt-ons.

These companies are also making significant efforts to address broader issues such as governance, security, and the need for advanced data structures like knowledge and context graphs. Such measures are vital for understanding data and workflow intent, ensuring that systems can operate autonomously while maintaining compliance and security. While these efforts do not guarantee that the incumbent SaaS companies will "win" against emerging AI-native competitors, they represent significant steps toward adapting and maintaining relevance in

an evolving market. Whether they can move fast enough and reposition to leverage their market presence, distribution, and scale advantages to be net beneficiaries of the AI era remains to be seen.

Allison Nathan: By contrast, how can AI-native firms compete and win in the space?

Rick Sherlund: Disruptors have historically succeeded by entering at the lower end of the market, where there is less invested in incumbent systems and companies are more open to adopting innovative solutions. This was the case with Salesforce and Workday, who began by serving small- and medium-sized businesses rather than directly competing with SAP.

Over time, as new entrants enhance their offerings and scale their distribution, they can move gradually upmarket, competing with larger incumbents—adopting a "land and expand" strategy. Salesforce, for example, began with sales automation before expanding into marketing and customer service, while Workday started in Human Resources before adding financial capabilities. Ultimately, the path to market disruption starts at the bottom where the protective moats are fewer and fresh ideas can gain traction, and scales upward.

Allison Nathan: Given all that, how do you foresee the competitive landscape for software evolving?

Rick Sherlund: As more AI-native companies enter the lower end of the market, the software industry will likely become increasingly fragmented. We saw this with the move from client-server systems to the cloud/SaaS model, where specialized "best-of-breed" software solutions were embraced over traditional monolithic suites from providers like SAP and Oracle. Now, with the rise of agentic AI systems, we will likely see a further disaggregation as agents enable a fragmentation of functions and an unbundling of existing SaaS functions. This is already evident in the customer support segment, with AI agents transforming Contact Center as a Service (CCaaS) and IVR systems, as well as in the emergence of dedicated sales and marketing agents.

Allison Nathan: How can investors distinguish between software companies that will likely remain resilient in the face of AI-driven disruption, and those that may be at risk of becoming obsolete?

Rick Sherlund: Investing in software has now become riskier, making it important to distinguish between layers of the software stack—applications are probably more at risk than infrastructure software, while areas such as governance, security, and data management stand to benefit most from AI advances. Investors must carefully assess which companies are most exposed to disruption and which possess complex workflows that are more difficult to encroach upon, even if these firms will eventually need to undergo significant transformation to remain competitive.

Ultimately, the most promising companies are those doing the heavy lifting to re-architect to put LLMs at their core and build robust agentic frameworks. At the end of the day, only those with the right architecture will be able to adapt and capitalize as AI capabilities rapidly advance.

The software ecosystem, at a glance

The software industry can be thought of in three layers: Applications, Platforms, and Infrastructure. Companies operating within each layer are considered software companies because their core offering is the creation, deployment, or sale of software. A company can appear in multiple layers of the software stack depending on its product offerings, in a strategy known as “vertical integration”.

Applications

The application layer represents the software products that end-users directly interact with to perform specific tasks.

Applications include an array of software such as enterprise resource planning (ERP) systems, customer relationship management (CRM) tools, productivity suites, and industry-specific applications.



Platforms

The platform layer provides the software environment, tools, and services that enable developers to build, deploy, and manage applications. Platforms include operating systems, databases, development frameworks, cloud Platform-as-a-Service (PaaS) offerings, and API platforms.



Infrastructure

The infrastructure layer comprises the core computing resources, networking capabilities, and security and storage solutions that underpin all software.

Infrastructure includes physical and virtual servers, data centers, cloud

Infrastructure-as-a-Service (IaaS)

offerings, databases, and cybersecurity essentials.



Note: List of companies in each layer is not exhaustive.

Source: Goldman Sachs GIR.

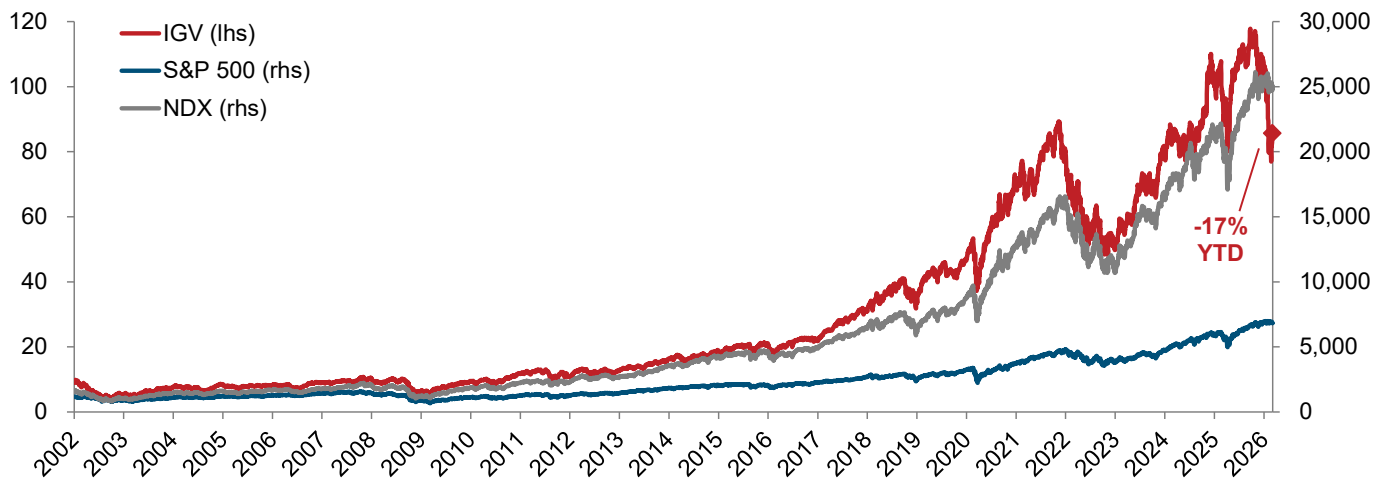
Special thanks to GS US Software Analyst Matthew Martino for data and guidance.

Illustration created using random AI generated code.

The software selloff, visualized

The iShares Expanded Tech-Software Sector ETF (IGV), which tracks the performance of around 120 North American stocks in the software industry, has declined by around 17% since the beginning of the year and 26% from its fall 2025 highs

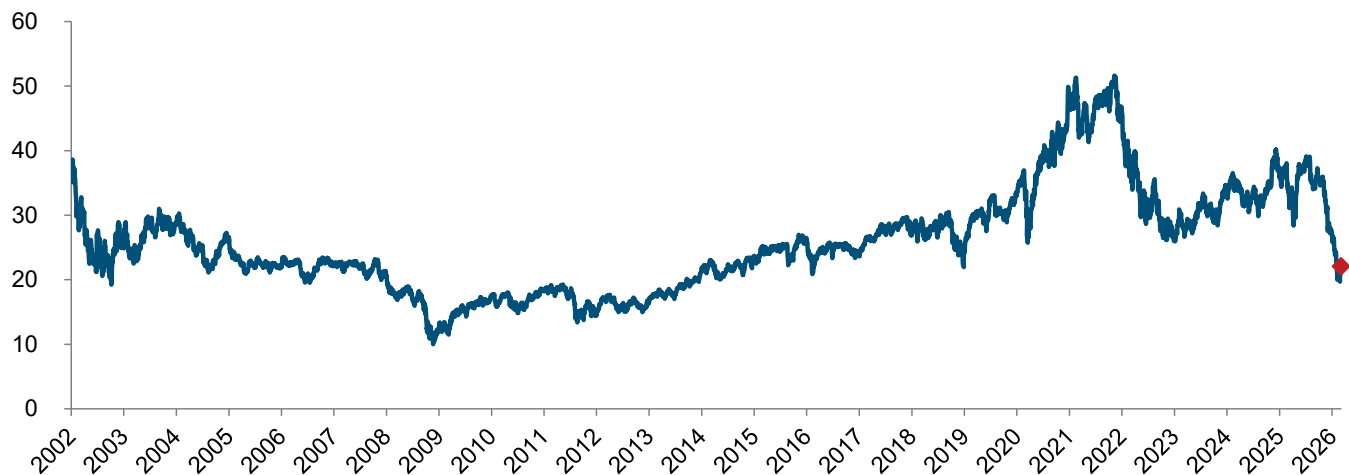
Price



See [here](#) for more details about the IGV ETF.

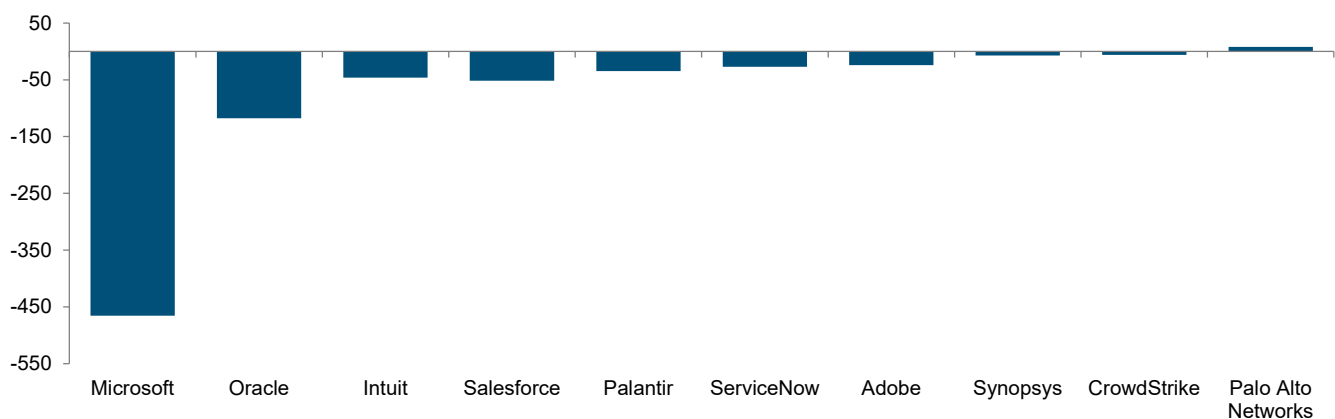
Source: FactSet, Goldman Sachs GIR.

Valuations have also fallen sharply, with the companies in the ETF trading at roughly 22x, well below their Covid-era peak of 51x IGV NTM P/E



Source: FactSet, Goldman Sachs GIR.

The 10 largest stocks in the IGV ETF have in total lost nearly \$800 billion in market capitalization since the beginning of the year
Market cap change for each of the 10 largest stocks in IGV since January 2, 2026, \$bn



Source: Bloomberg, Goldman Sachs GIR.

Special thanks to GS US Portfolio Strategist Christophe Sung for data.

AI disruption: software subsector impacts

Q: Vertical Software, Data Infrastructure, and Physical-to-Digital are key subsectors of the software space. To what extent are legacy firms in these subsectors vulnerable to AI disruption?

Vertical Software

A: Vertical software refers to products built for specific industries rather than general-purpose systems like email or accounting tools. These systems store critical data, reflect industry-specific workflows, and are deeply embedded in companies' daily operations. Vertical vendors include firms like Guidewire Software (insurance), Tyler Technologies (public sector), and Veeva Systems (life sciences). As AI technology continues to rapidly evolve, the key question is whether new agentic technologies will make vertical systems less valuable or even replace them. Our view is nuanced but ultimately constructive. First, we believe vertical software systems will remain the core "systems of record" (see pg. 4-5) for their industries. The data and context embedded in these platforms are both unique to complex, industry-specific networks and essential for AI to generate meaningful, reliable outputs. Second, AI gives vertical software vendors an opportunity to enhance connectivity between complicated industry workflows and get customers more value out of their data. Over time, this will likely drive synergies between products and result in higher revenue, even if competition grows.

The important nuance here is execution. Management teams that are fast followers—those that actively integrate new AI capabilities and maximize the value of available LLM technology—are better positioned to limit value abstraction. Conversely, less innovative vendors, rather than be valued as an immersive software ecosystem, could see their value erode to that of a database, which would likely weigh on pricing power and growth.

Competition in this layer will likely intensify. We are already seeing early signs of this with businesses that deploy engineers directly within a customer's environment to implement AI (often called forward deployed engineering), as well as early-stage tools launched by LLM companies themselves (i.e., Claude plugins). That said, incumbents that already own the underlying data and industry context layer start from a position of strength. Customers are also likely to be relatively patient with these vendors given the strength of their relationships and deep embeddedness of the software.

These dynamics could ultimately drive more M&A. Incumbents seeking to remain competitive may increasingly turn to M&A to keep pace with AI-native innovation, while private equity firms may find vertical businesses with clear data and context moats increasingly attractive given the compression of public market valuations.



*Adam Hotchkiss,
US Emerging Software Analyst*

Data Infrastructure and Physical-to-Digital

A: Data infrastructure refers to platforms that store, govern, and secure data so it can be accessed and used across an organization, such as Snowflake, MongoDB, and Rubrik. We view AI as a force multiplier in this space. As organizations deploy AI copilots and agents, they will create and query more data, demand faster response times, and tolerate less downtime. This raises the value of this foundational layer, because it determines whether AI can run reliably and securely in production.

The primary risk this subsector faces is that, over time, workloads could shift to newer or cheaper platforms—a familiar pattern in technology transitions—and more integrated AI stacks could reshape enterprises' spending priorities. However, we see these as competitive dynamics to monitor rather than immediate existential threats.

The disruption debate is more pointed for physical-to-digital companies. These are software firms that sell digital products to physical asset-intensive industries like construction and transportation. On the surface, these products can look like everyday applications. In reality, they sit inside mission-critical workflows with governance and compliance baked in, which raises the bar for AI-native challengers.

The long-term risk is not that AI replaces these platforms outright, but that a general-purpose agent layer could sit above them and reduce their standalone importance. But our view is that AI adoption will gravitate toward systems that control proprietary data and link directly to real-world outcomes. For such systems, AI will likely become a source of reinforcement rather than disruption.



*Matthew Martino,
US Software Analyst*

AI tools for enterprise

Tool	Summary
Core enterprise AI platforms	
Anthropic Claude Cowork	An AI productivity tool that operates as an AI agent that can perform tasks directly on a user's computer, including automating repetitive tasks such as organizing files, extracting data from PDFs into spreadsheets, and generating presentations.
OpenAI Frontier	An enterprise-grade platform designed to build, deploy, and manage autonomous AI agents that act as "digital co-workers." AI agents can perform complex, multi-step tasks across business systems like CRM and data warehouses.
Microsoft Copilot	An AI digital assistant integrated across Microsoft 365 apps (Word, Excel, Teams), Windows, and web browsers, designed to boost productivity and streamline workflows.
Google Gemini for Workspace	An AI digital assistant integrated directly into Gmail, Docs, Drive, Slides, Sheets, and Meet that helps users boost productivity through drafting, organizing, summarizing, and brainstorming.
OpenClaw	An open-source autonomous AI agent that acts as a personal digital assistant capable of managing files, running terminal commands, and automating tasks across platforms like Discord, Slack, and WhatsApp.
Adept AI	Uses autonomous AI agents that can execute manual, repetitive, end-to-end workflow tasks across existing software applications.
AI for customer service and sales	
Sierra AI	An AI-powered customer service agent that can handle complex conversations across digital channels including around tracking orders or resolving issues.
Ada CX	An AI customer service platform designed for enterprises to automate support across chat, email, and voice channels.
Gong AI	A revenue intelligence platform using AI to analyze customer interactions to improve sales performance and identify risks.
Clari AI	Provides AI-driven revenue forecasting and deal intelligence.
AI for HR	
HR Plugin for Claude Cowork	Allows HR professionals to deploy specialized agents that operate across local files and enterprise apps. It can draft offer letters, build onboarding plans, and run compensation analyses by pulling data from multiple spreadsheets.
Paradox	A tool for high-volume recruitment that handles candidate screening, answers FAQs, and automatically schedules interviews based on recruiter availability.
AI for financial services	
AlphaSense	An AI-powered market intelligence platform that aggregates millions of data points from equity research, filings, and news to provide real-time insights for analysts.
Alteryx	Automates repetitive data workflows and analytical modeling, allowing finance teams to run various risk scenarios and consolidate disparate data sources without manual effort.
Prophix One	A finance-native platform embedding AI agents directly into budgeting, forecasting, and "continuous close" workflows to reduce human error in reporting.
Trullion AI	An AI accounting platform that automates lease accounting and revenue recognition.
Anaplan (PlanIQ)	An AI platform that detects anomalies and generates predictive forecasts across finance, sales, and supply chain operations.
AI for manufacturing and supply chains	
Siemens & NVIDIA (Industrial AI OS)	A joint operating system that transforms "passive" digital twins into active intelligence, allowing real-time simulation and optimization of factory floors.
Blue Yonder	An AI-driven supply chain platform that provides cognitive analytics to predict disruptions and automatically adjust production and logistics schedules accordingly.
Cognex Vision AI	Leverages deep learning for high-speed machine vision quality control, detecting subtle defects that traditional rule-based systems miss.
Interos	An AI risk management platform that monitors global supply chains for geopolitical, financial, and ESG-related disruptions.
Phaidra	Provides autonomous AI control systems for industrial manufacturing and mission-critical facilities, such as data centers.
AI for legal and professional services	
Harvey AI	A domain-specific AI platform used by major law firms for regulatory research, document analysis, and drafting documents.
Luminance	An AI platform specialized in M&A due diligence and autonomous NDA negotiation, capable of identifying anomalies across large document sets.
Ironclad	A contract lifecycle management tool that uses AI to automate the drafting, negotiation, and tracking of legal obligations at scale.
Casetext (CoCounsel)	An AI legal assistant that performs case law research, summarizes depositions, and reviews documents for relevance using advanced reasoning.
AI for retail and e-commerce	
Salesforce Einstein	An integrated AI layer for CRM that generates personalized product descriptions, predicts customer churn, and provides merchandising insights.
Shopify Magic	Suite of AI tools that automates inventory management, generates marketing copy, and personalizes product recommendations.
ConversionBox	An AI shopping assistant that uses conversational AI to guide customers through product discovery, acting as a digital salesperson on e-commerce sites.

Note: Table does not constitute an exhaustive list of all AI tools for enterprise.

Source: Company data, various news sources, compiled by Goldman Sachs GIR.

Interview with Sanjay Poonen

Sanjay Poonen is CEO and President of Cohesity, an AI-powered data security and management firm, and serves on the boards of Philips and Snyk. Previously, Poonen was COO at VMware and President of SAP. Below, he argues that agentic AI has the potential to be enormously disruptive for the software industry, and legacy firms must adapt by leveraging the technology to improve their product offerings or risk being demolished by it.

The views stated herein are those of the interviewee and do not necessarily reflect those of Goldman Sachs.



Allison Nathan: Based on your vast experience in the software industry, does the emergence of new agentic AI tools for software development mark a transformative moment for the industry?

Sanjay Poonen: Agentic AI has already proven to be an incredibly powerful tool with the potential to be enormously disruptive. As an engineer who began my career writing code, this is a truly exciting and transformative moment—back in the 1990s, I often stayed up late trying to debug code, hoping to find another engineer also working late whom I could consult. Today, that “person” is an AI assistant.

However, just like any technology wave, you must surf this tsunami, or it will demolish you. If software engineers aren’t leveraging AI technology to write code and improve productivity today, it’s a crime. The best software engineers I know, both at Cohesity and beyond, say that the technology is revolutionizing the way they code. So, we’ve thoroughly embraced it at Cohesity. But every business should be thinking about how these tools can support and improve not only their software engineers, sales reps, and human resources personnel, but also their products and services. I see limitless potential to leverage generative AI in almost every industry, from medtech to aeronautics and even space.

“Agentic AI has already proven to be an incredibly powerful tool with the potential to be enormously disruptive... However, just like any technology wave, you must surf this tsunami, or it will demolish you.”

Allison Nathan: You paint a very positive picture of the benefits of AI for software and productivity. But the whole software sector has re-rated substantially lower because of concerns that legacy software companies won’t be able to compete even if they are embracing AI technology themselves. So, are these concerns warranted?

Sanjay Poonen: With such transformative technology, every software company must assess whether they can sustain their current price per user or will instead be threatened by AI-native or other competitors leveraging the technology. At the core of every Software as a Service (SaaS) application is a CRUD—Create, Read, Update, Delete—database that maintains data, application logic, and workflows, which AI tools have the potential to radically disrupt. If a company can sustain its price

per user amid this disruption, it will likely be fine. But some companies may need to lower their price per user to remain competitive. That doesn’t necessarily mean the company will go bankrupt or disappear, but it does have important implications for revenue growth and terminal value. So, every CEO, analyst, and investor is rightly assessing this risk.

“With such transformative technology, every software company must assess whether they can sustain their current price per user or will instead be threatened by AI native or other competitors leveraging the technology.”

Allison Nathan: Is it realistic to think that these companies will be able to effectively respond to this pricing pressure and stay competitive?

Sanjay Poonen: Yes, but it requires innovation. Firms whose core products are under pressure may need to add a second or third module with enhanced capabilities that garners a higher price per user to compensate for the lost revenue. For example, a company could offer a small, medium, and large packaging of its product, with the price per user of the small, base product coming down, but the price per user of the larger product offerings higher.

Alternatively, firms can expand into new areas to grow their total addressable market (TAM) and sustain revenue growth even as price per user declines. When I was at SAP, we recognized that a price per user ceiling existed for our ERP software and responded by adding a system of engagement on top of the system of record by acquiring analytics companies and building new business objects. This allowed us to raise the effective price per user for the combined product offering. Every company facing disruption of their core product will need to make these types of adjustments.

SaaS companies can also attempt to shift from a price per user to a price per outcome model, where fees are based on the measurable value they provide to the customer. That pricing model is harder to sustain because tracking outcomes can be challenging and an IT buyer typically has a fixed budget and is often unable or unwilling to enter into a vendor contract with fees that depend on the broader company’s performance. Because of that, most companies price per user. The only company I am aware of that uses a price per outcome model is Palantir, which often sells its product at the CEO level, where the power to make these decisions resides.

Allison Nathan: So, is the indiscriminate selloff across the software space overdone?

Sanjay Poonen: The answer to that will ultimately be determined by the revenue growth of these companies. As both a student of software and the CEO of a software company, I will be closely watching whether growth is holding up or slowing down. That said, in the security world Cohesity lives in, the large market reaction to Anthropic's announcement that it had built a code scanning tool for security was akin to Anthropic sneezing and everyone coming down with pneumonia. But the market seemed to quickly realize that this was an overreaction and that this tool won't enable users to build a firewall or a data or endpoint security product overnight.

Allison Nathan: Even if that's true today, are you concerned that it won't be in the future given the rapid rate at which generative/agent AI technology is advancing?

Sanjay Poonen: Former Intel CEO Andy Grove said it best: "only the paranoid survive." Nobody in this space can afford to be cavalier about the potential for disruption. As a CEO, I have to assume that someone could use AI tools to build a competitor. In fact, I recently asked an AI assistant to build a Cohesity competitor to see what it would do. Unsurprisingly, its first response was that this was a "tall order." But it was able to think about the challenge in logical steps, which revealed an understanding of how to build a competitor. So, it's only safe to assume that, given time, these tools will eventually be able to do just that. For that reason, it is incumbent upon myself and every other CEO in a similar position to take advantage of these same tools to expand and improve our own product offerings. Again, we must ride the tsunami to our benefit rather than let it demolish us.

“Former Intel CEO Andy Grove said it best: “only the paranoid survive.” Nobody in this space can afford to be cavalier about the potential for disruption.”

Allison Nathan: But is just bolting AI agents onto legacy layers ever going to be as successful and powerful as native AI product offerings, or will legacy companies eventually have to start from scratch?

Sanjay Poonen: Software is typically built in architectural layers, with the top layers easiest to refresh and the core, bottom layers much harder to. But even timeless software evolves every decade or two, so engineers must be comfortable with the idea of completely rewriting part of or even the whole architectural stack. The good news is that using new tools and approaches to rewrite code from scratch will probably take a small fraction of the time it took to write the original code. Even then, disrupting the whole stack is undoubtedly hard, even if necessary. In such instances, companies might decide to shelter in place and keep the

business and cashflow running while simultaneously building or buying the next generation of the company. I see this as akin to living in your old house while building a new one next door and only tearing down the old house once the new one is ready.

We dealt with this at every organization I've worked at. At SAP, as new companies that were building a SaaS version of ERP in the cloud threatened to disrupt our on-prem product, we had to consider whether we could build a cloud-native product fast enough without disrupting our core platform. The best companies find a way to constantly evolve their stack to remain competitive.

Allison Nathan: While large players like a Microsoft or Salesforce may be able rebuild, is there an inherent disadvantage for the smaller companies that have less resources to do so?

Sanjay Poonen: It's wrong to assume that reinvention is easier at a Microsoft or Salesforce, and in fact the opposite may be true. It took new leadership for Microsoft to transform from a Windows company to a cloud company and now an AI company. In my experience, the bigger the company, the greater the molasses, dinosaur mindsets, and resistance to change. Smaller companies may not have as many resources, but they have the advantage of speed. It's a bit like a speedboat vs. an aircraft carrier—small firms can usually make decisions faster and are less likely to have a large legacy install base that they must worry about transforming. Microsoft pivoting away from Windows to Azure was a big and highly risky shift. A company starting completely from scratch has no legacy to deal with. I'm reminded of the joke that God created the world in seven days because he didn't have an install base. The bigger the install base, the tougher it is to pivot and change.

All that said, whether small, medium, or large, as long as a company maintains a mindset and culture that is open to innovation, none of these challenges are too daunting to achieve. Companies with such a mindset can start things from scratch and build on them without destroying the house they live in, which allows them to create S-curve upon S-curve of continued innovation.

Allison Nathan: So, what could the software industry look like in five or 10 years?

Sanjay Poonen: I expect more vertical industry software capabilities in industries like space, healthcare, material sciences, and robotics. Consider SpaceX's vision of data centers in space, where cooling isn't a problem. That endeavor will undoubtedly require software. The same could be said for biotech, medtech, and robotics, which will almost certainly increasingly attract top software talent that previously went to the Googles and Salesforces of the world, driving innovation that could help people live healthier and longer lives. So, my hope is that the software industry spreads its skillset into other vertical industries with positive implications for society and the world. And AI will undoubtedly be a part of every one of those industries.

Software stocks: earnings stability needed

Ben Snider argues that a rebound in the stocks most exposed to AI disruption risk likely won't come until earnings stabilize

The AI narrative has shifted. After three years of equity investor enthusiasm regarding the tailwinds from AI, recent equity market rotations reflect a growing focus on the risk of AI disruption. Software stocks have been at the center of this shift, falling by 18% from their YTD highs and now sitting roughly 26% below late 2025 levels. Stocks in a range of data-intensive industries beyond software, including insurance, media, and business services, have also declined sharply in recent weeks. While the moves have been swift and severe, we think a rebound in the stocks most exposed to AI disruption risk will take time, as disproving the disruption narrative won't be easy or quick.

Re-rating: a decomposition

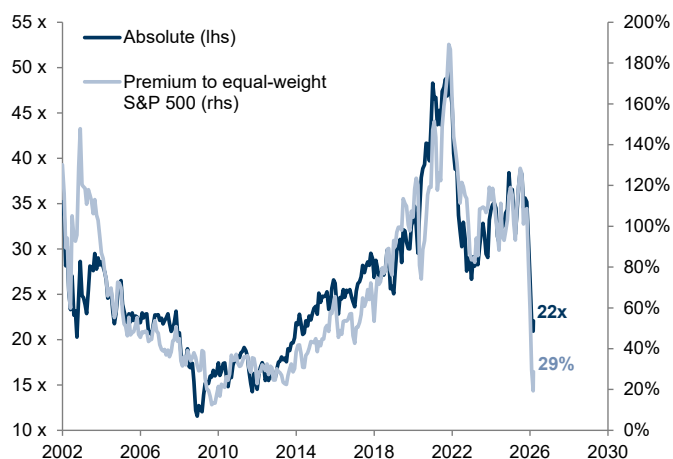
After entering 2026 at extremely elevated valuations, growth expectations, and weights in investor portfolios, the software industry has sharply re-rated to reflect declining expectations for future earnings growth as AI disruption risk grows.

The industry's forward P/E multiple has fallen from roughly 35x in late 2025—consistent with 2028 consensus revenue growth in the 15-20% range, over twice the roughly 6% growth expected for the median S&P 500 stock and the highest expected growth in at least two decades—to around 22x currently, the low end of the multiple's recent range and the lowest absolute level since 2014, consistent with 5-10% earnings growth.

Given the high starting point of valuations, software continues to trade at a valuation premium to the equal-weight S&P 500 despite the recent selloff, and its 9% S&P 500 weight is roughly double its weight a decade ago.

Software continues to trade at a valuation premium to the equal-weight S&P 500 despite the recent selloff...

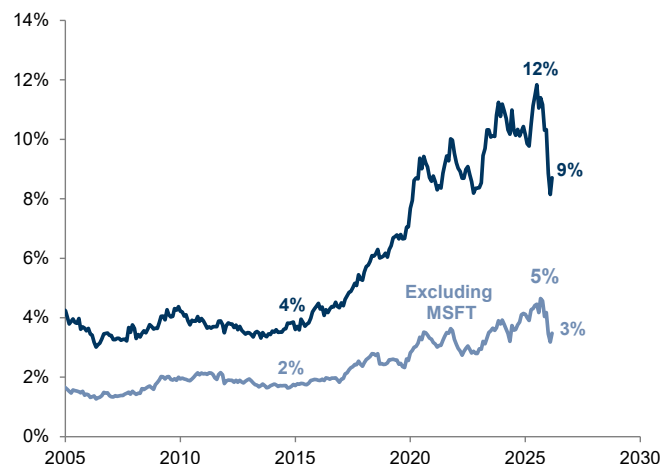
Software forward P/E, X (lhs), % (rhs)



Source: FactSet, Goldman Sachs GIR.

...with its weight in the S&P 500 roughly double that of a decade ago

Software weight in the S&P 500, %



Source: FactSet, Goldman Sachs GIR.

In addition to lower growth expectations, the recent re-rating reflects rising uncertainty around the long-term trajectory of the industry and the “terminal value” of stocks previously viewed as long-duration growth assets. In other words, share prices now reflect not just slower expected growth, but also doubts about the durability of business models as AI disruption raises questions about pricing power and competitive barriers.

The impact of this long-term uncertainty can be seen in the juxtaposition of recent share price volatility and 4Q25 earnings results. In contrast with falling share prices, recent earnings results have reflected strong profitability—including double-digit earnings growth last quarter, with profit margins for the industry sitting at record highs and roughly twice those of the rest of the market—and have driven upward revisions to near-term analyst earnings estimates.

The performance and earnings of software stocks have diverged

Indexed performance and earnings of software stocks



Source: FactSet, Goldman Sachs GIR.

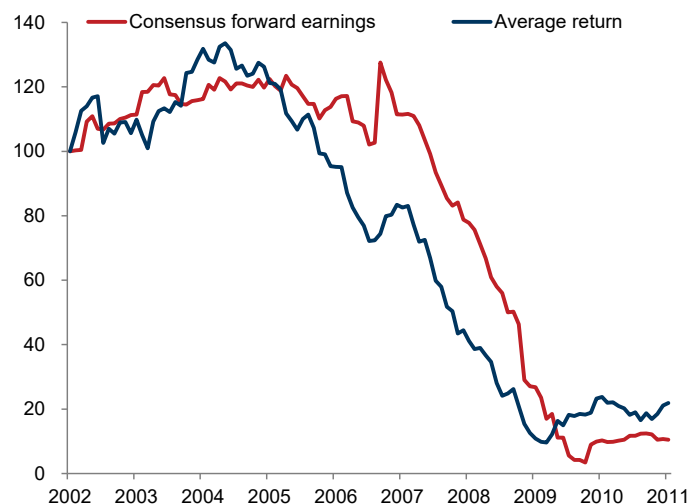
Lessons from history: don't expect a V-shaped rebound

Historical episodes of disruption risk suggest that share prices in affected industries will likely stabilize only when earnings stabilize, and that these periods of uncertainty can last for years. In the early 2000s, US newspaper stocks fell by an average of around 95% over the course of five years, and the group bottomed out only slightly ahead of the stabilization in

forward earnings estimates. Tobacco stocks in the late 1990s experienced disruption risk driven by litigation, rather than technology, but the pattern was similar. In that episode, share prices declined by over 50% in 1997-1998 and troughed only as the litigation settlement reduced uncertainty and the near-term earnings outlook stabilized. Given the rapid pace of AI advancement today, disproving the narrative of disruption risk is difficult when near-term earnings outlooks in the vulnerable industry have barely begun to weaken, much less stabilized.

US newspaper stock prices stabilized only when earnings stabilized

Indexed avg return and consensus forward earnings of US newspaper stocks



Source: FactSet, Goldman Sachs GIR.

For investors, the lesson is not to expect a V-shaped rebound in the parts of the equity market most affected by recent disruption fears. For these industries, near-term earnings can be an important signal of business resilience, but in many cases will be insufficient to disprove long-term downside risk. For the group to re-rate higher, investors will likely require more clarity on AI's eventual business impact, which will take time, or a substantially lower starting point for valuations and ownership. This may be an easier lift for the parts of the software and business services industries with particularly resilient business moats, but those moats, too, will need to be proven.

Of course, in any broad-based selloff there will likely be some proverbial "babies thrown out with the bathwater" that represent value opportunities for stock pickers. In the current episode, the key is the speed with which companies can disprove disruption risk.

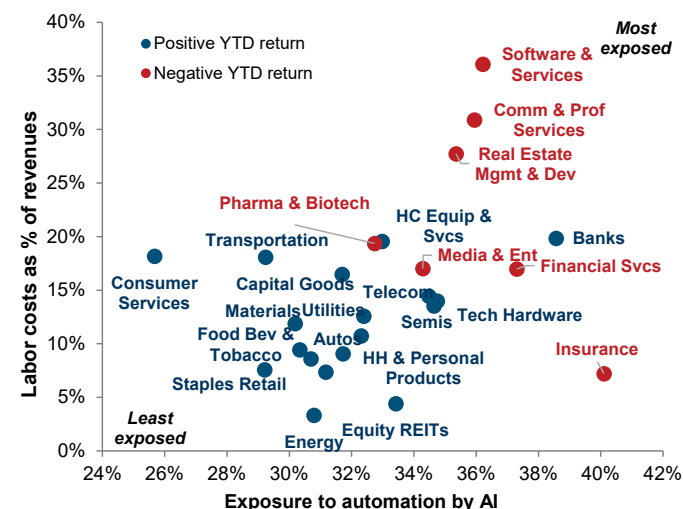
Avoiding AI disruption risk: look to "real world" assets

Another consequence of the recent focus on disruption risk is a rotation of investor portfolios toward "real world" assets with perceived insulation from AI disruption risk. Recent outperformers in this vein include a handful of cyclical industries like industrials and materials that have also enjoyed tailwinds from an improving economic growth backdrop. GS forecasts for above-trend economic growth have lent fundamental support to cyclicals' recent strength, and we entered 2026 recommending investors own many of these stocks. However, the tailwind from cyclical economic acceleration also highlights the broader equity market vulnerability if the growth backdrop proves less robust than

expected or industry-specific AI disruption fears spread to broader concerns about labor market disruption. This risk helps explain the recent outperformance of more defensive "AI-insulated" sectors, including consumer staples and biopharma, and we think the appropriate strategy is to balance cyclical exposures with some relatively defensive equity positions.

The recent focus on AI disruption risk has triggered a rotation toward "real world" assets

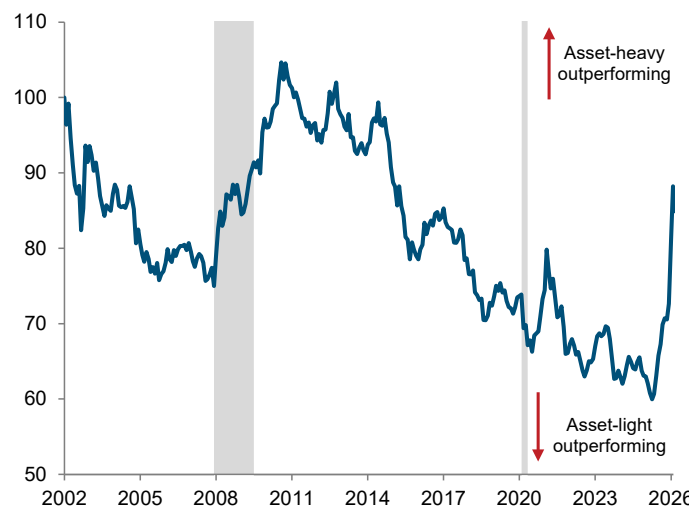
Russell 1000 industry median



Source: Revelio, company filings, Goldman Sachs GIR.

Increased investor desire for "AI insulation" has led asset-heavy stocks to sharply outperform

Asset-heavy vs. asset-light indexed performance



Note: Grey bars indicate recessions.

Source: Goldman Sachs GIR.

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Managing AI risk in portfolios

Christian Mueller-Glissmann discusses the why and how of managing AI risk in portfolios amid growing AI disruption fears

Investor concerns about AI risks for the global technology sector have grown amid ongoing worries about hyperscalers' massive AI capex spend and, most recently, rising fears that new AI tools will disrupt tech incumbents, especially legacy software firms. Such concerns matter because global portfolios are highly exposed to the technology sector, especially within US equities, where software stocks have a relatively large weight, with substantial exposures to technology and software specifically also a feature of private markets.

But the fate of the tech sector also matters more broadly given how closely tied structural cycles in US equity valuations and outperformance have been to the performance of tech stocks. To achieve more balance between innovation and inflation risks within portfolios, we think investors may need to continue rotating from capital-light to capital-heavy businesses that AI won't easily disrupt, though the aggressive rotations we've already seen warrant being more selective.

A tech-dependent equity market...

What happens to the tech sector has broader implications for the equity market for several reasons. The sector has historically been a key driver of structural cycles for US equities, with major waves of technological innovation often significantly impacting the broader market. During the 1960s PC boom, 1990s Internet boom, and the post-Global Financial Crisis (GFC) ascent of the Magnificent 7, tech's share of total market cap rose sharply, and significant market corrections often followed these periods. Today, the TMT sector once again commands the largest weight within US equities, comparable to Tech Bubble levels, but the sector's contribution to earnings is now substantially greater compared to then.

Tech's weight in the US equity market has risen sharply during major waves of technological innovation

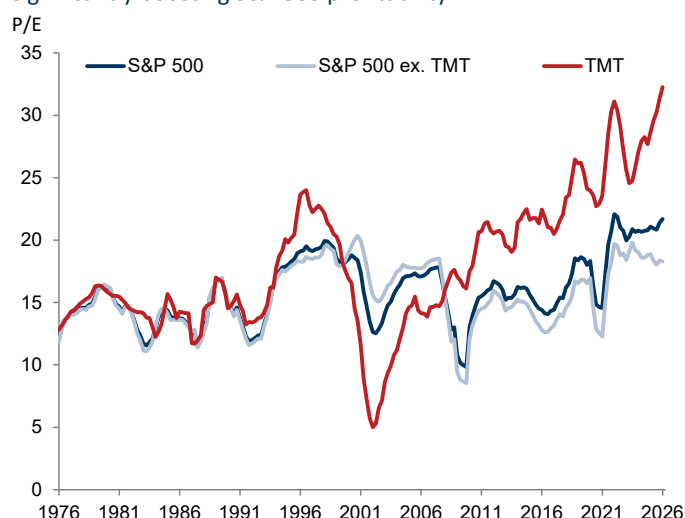
Tech market cap and earnings weight within US equities, %



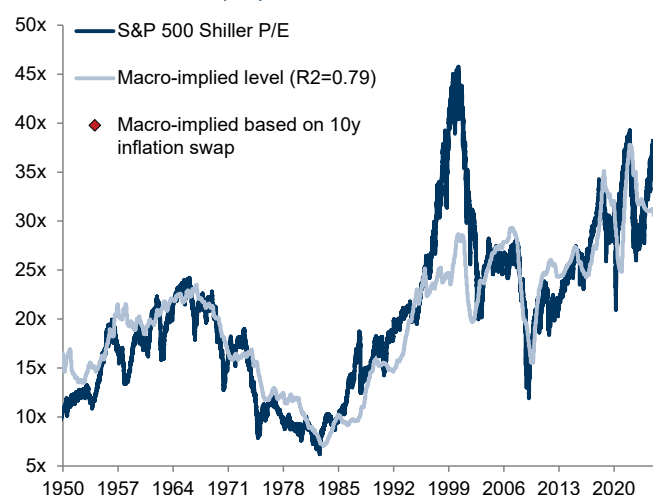
Tech has also played a key role in driving structurally higher S&P 500 profitability and valuations. Since the GFC, the return on equity (ROE) across the TMT sector has nearly doubled,

significantly lifting the S&P 500's overall profitability. This trend accelerated during the pandemic as technology adoption surged. Higher profitability has, in turn, supported higher equity valuations. Indeed, the rise in the S&P 500's Shiller P/E over the past two decades reflects two interconnected elements: improved corporate profitability—driven by the growing weight of the highly profitable, capital-light US tech sector—and persistently low and stable inflation. And the strong performance of large cap tech stocks has driven a large amount of the US equity outperformance since the GFC.

The ROE for the TMT sector has nearly doubled since the GFC, significantly boosting S&P 500 profitability



High profitability, coupled with low inflation expectations, have fueled a rise in US equity valuations



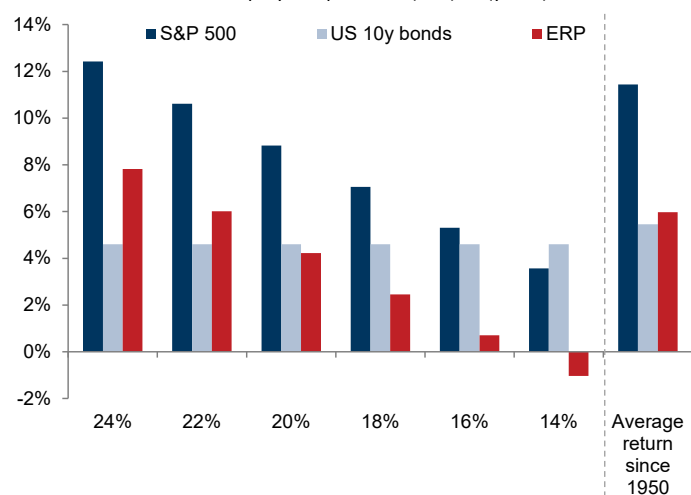
...meets AI disruption fears

Investors have extrapolated the TMT sector's high ROE, even as these firms pay out relatively little to shareholders, essentially betting that major tech conglomerates will maintain their profitability as they make substantial reinvestments. However, last year anxieties around AI capex began to impact some of the largest spenders in the sector, particularly the hyperscalers. Beyond concerns around potential future AI revenues, the big spenders are also becoming more capital-heavy, which might weigh on ROE in the medium term.

More recently, rising concerns about AI disruption have weighed on parts of the TMT sector, especially software stocks, with investors increasingly worried that the tech sector may end up disrupting itself. Advances in AI-powered task automation, for example, could undermine the pricing power of some of the most profitable large-cap software firms. While AI adoption may also boost other businesses' ROEs, a decline in the profitability of the market's largest and most lucrative segment could adversely affect the S&P 500's overall ROE and dampen long-term return expectations, which currently rely on the compounding of those ROEs. And markets have been pricing negative AI disruption faster than potential tailwinds from AI adoption.

Lower corporate profitability could portend lower long-term equity returns and less attractive equity risk premia

S&P 500 ROE in 10 years scenarios, % (x-axis) vs. annualized nominal returns for stocks and bonds and equity risk premium (ERP), % (y-axis)*



*See this [note](#) for more detail about the long-term return calculations.

Source: Haver Analytics, Goldman Sachs GIR.

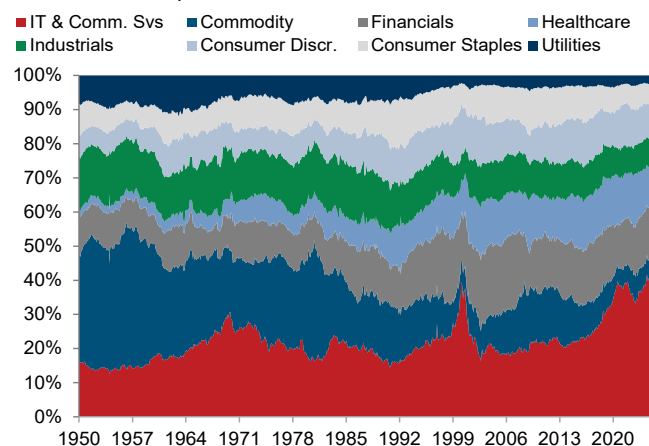
Balancing innovation and inflation risks

We expect an AI-driven rise in productivity to eventually support corporate profitability. But concerns about AI disruption may continue to be priced faster than the benefits of AI adoption. On top of that, the AI application firms driving disruption are mostly private companies and, as such, not easily investable, which makes it difficult to diversify AI disruption risk. Investors may therefore demand more risk premium for at-risk businesses, which has already driven a rotation and value convergence between capital-light growth sectors like TMT and capital-heavy value sectors like telecoms, industrials, and utilities that AI is unlikely to disrupt.

Owing to a boost from innovation, the TMT sector has become a much larger part of the S&P 500 since the GFC, while capital-heavy sectors have underperformed, partly owing to a lack of inflation. As investors continue to worry about AI disruption, this may lead them to demand a higher equity risk premium, which could result in some de-rating of equities vs. bonds, with bonds potentially also benefitting from disinflation due to AI disruption.

The TMT sector holds a dominant position within the US equity market, with capital-heavy sectors holding a relatively small one

Share of S&P 500 by sector, %



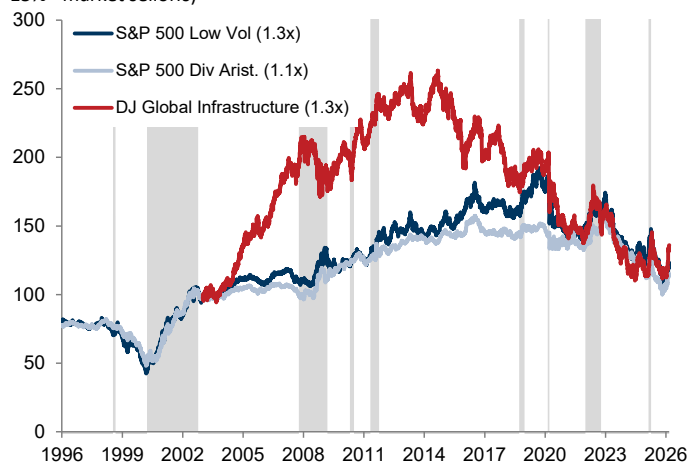
Source: Bloomberg, Datastream, Goldman Sachs GIR.

To manage innovation and inflation risks within portfolios, investors may need to continue rotating further from growth to value and capital-light to capital-heavy businesses, both in equity and credit. However, after the aggressive rotations since the beginning of the year, we favor being more selective. Within equities, we continue to see diversification benefits from defensive styles such as low volatility stocks, dividend aristocrats, and infrastructure, which materially outperformed on a risk-adjusted basis during the Tech bubble burst.

We also expect more dispersion as AI will likely continue to produce more winners and losers. This should support strategies that buy individual stock and sell index options and long/short hedge funds in both equity and credit. And we continue to view geographical diversification as an attractive strategy. TMT exposure is typically lower in non-US equity markets and tends to be more hardware-focused, with such markets also offering more capital-heavy sector opportunities.

Defensive styles have lagged in recent years but outperformed over the long run

Total return relative performance vs. S&P 500 (grey bars indicate periods of 15%+ market selloffs)*



Source: Datastream, Bloomberg, Goldman Sachs GIR.

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Software disruption & credit: no hard fall

Shamshad Ali argues that software loan losses owing to AI disruption fears are unlikely to catalyze a turn in the credit default cycle

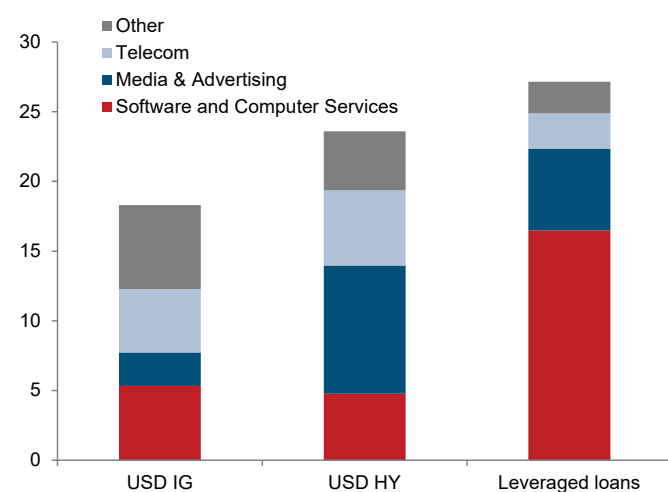
Recent headlines around AI-driven disruption—and the associated sharp drawdown in software stocks—have weighed on software-exposed credit, most notably in the broadly syndicated loan (BSL) market. As sectors like insurance, brokers, and other services exposed to AI disintermediation have also come under pressure as more new AI tools have emerged and investors worry about downstream implications, we believe the BSL market faces the greatest risk should disruption concerns translate into weaker earnings trajectories for traditional software companies, which would erode interest coverage ratios for these already levered borrowers. Given that software accounts for a meaningful share of the BSL market, some degree of index-level stress would be difficult to avoid if fundamentals continue to deteriorate. That said, the benign macro backdrop and lower funding costs should help limit the risk of a turn in the credit default cycle.

A more exposed BSL market

Software accounts for only a small slice of the USD IG and HY bond indices (roughly 5%) but a meaningfully larger share of the BSL market (16%). While many IG software issuers are large incumbents (including the AI hyperscalers), software-exposed issuers in the HY bond and leveraged loan markets have underperformed broader benchmarks as investors have repriced disruption risk. HY software has shifted from trading tighter than the average spread level of the overall HY index to roughly double index spreads, while secondary prices for software loans have fallen to the lowest levels since April 2025.

Software accounts for only a small slice of IG and HY but a meaningfully larger share of the BSL market

TMT subindex exposure in USD credit, %



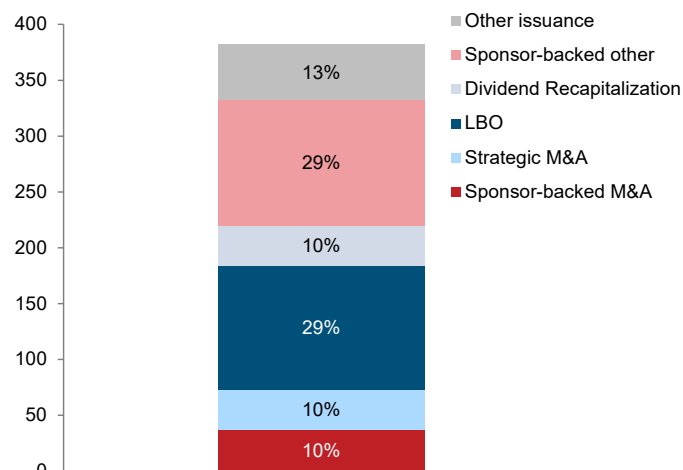
Source: Bloomberg, Pitchbook LCD, Goldman Sachs GIR.

A defining feature of software-related loans is the linkage to sponsor-backed (typically private equity) activity. Since 2021, nearly 40% of technology leveraged loan supply has been tied to sponsor-driven M&A and LBO financing. Another 10% of issuance stemmed from dividend recapitalization—firms taking on new debt to pay dividends—as sponsors sought liquidity amid a less favorable exit environment. The upshot is that

underwriting is no longer just about borrower fundamentals; investors also need to carefully consider sponsor incentives, time horizon, and sponsors' willingness to support a firm's capital structure through difficult periods as the industry navigates a changing paradigm.

80% of tech loan issuance since 2021 has been sponsor-backed

Share of total gross Computer and Electronics loan issuance since 2021 by category, \$bn



Source: Pitchbook LCD, Goldman Sachs GIR.

Some impairment likely, but not a turn in the default cycle

The potential persistence of AI disruption pressures would likely most clearly manifest via downgrades and lower secondary prices in the software-heavy portion of the loan index. Particularly important to watch would be the implications of such shifts for the CLO community, the main buyer of leveraged loans. CLOs have built-in rules or covenants designed to ensure that the overall diversification and quality of the underlying loans in their portfolios remain within acceptable limits (concentration, over-collateralization and collateral-quality tests). The downgrading of too many loans to a CCC rating (BSL CLOs typically have a limit of 7.5% for CCC exposure) could trigger various penalties. As a result, prices for these loans could move beyond fundamentals as the investor base potentially shifts from CCC-averse CLO buyers.

That said, bifurcation in loans isn't new. Even in periods when lower-quality loans cheapen, the broader index can remain resilient when higher-quality borrowers repeatedly reprice their loans at lower spreads and new loan supply is muted, as has been the case this year. Overall, while some impairment in software-exposed loans is hard to avoid, we don't think this impairment is sufficient to catalyze a credit default cycle, for two reasons. First, the macro backdrop remains benign, and history suggests that defaults typically coincide with rather than predict the broader cycle. Second, lower interest rates and improved funding conditions should continue to provide incremental relief to floating-rate borrowers.

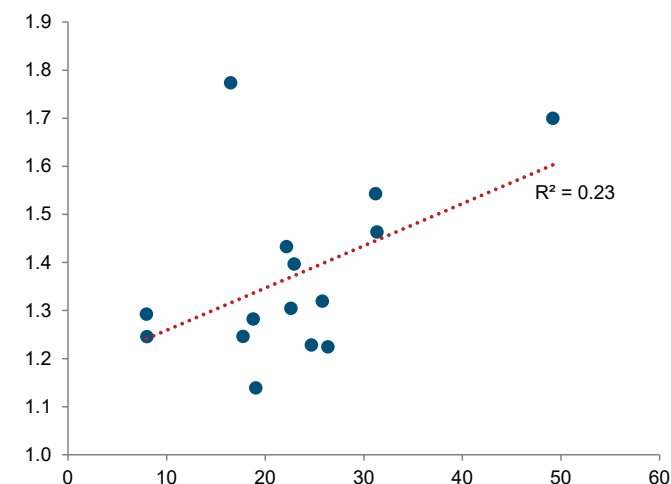
Pain in direct lending, but de-leveraging risk looks contained

Beyond the BSL market, direct lending—and by extension business development companies (BDCs) that invest in small and mid-sized, often private, firms—has been in the crosshairs given meaningful allocations to software. Indeed, our equity analysts estimate that software portfolio companies account for

22% of BDC loans (see pg. 20). Consistent with this, BDC equities have tended to trade at wider discounts to net asset value (NAV) while BDC credit spreads generally have widened in accordance with software exposure.

BDC credit spread widening correlates with software exposure

Software exposure as of 3Q25, % (x-axis) vs. on-the-run BDC senior unsecured bond spread change, ratio relative to Jan. 23 level (y-axis)



Source: Bloomberg, Goldman Sachs GIR.

We are closely monitoring signs of stress in BDC portfolios and have long argued that some writedown in asset valuations is likely. Recent liquidations of assets in BDC portfolios have also fueled speculation about asset health despite the loans selling at high, near-par, dollar prices. While full transparency isn't available on the sales, our equity analysts continue to think that credit trends in BDC portfolio data seem benign for now, but near-term portfolio data will remain under scrutiny.

While the rising rate of redemptions in BDCs is worth monitoring, we continue to think that the probability of a liquidity event or forced de-leveraging in direct lending is low owing to generally moderate leverage and substantial dry powder that can re-enter the complex and provide support, especially at more attractive valuations.

More dispersion from the next leg of the AI trade

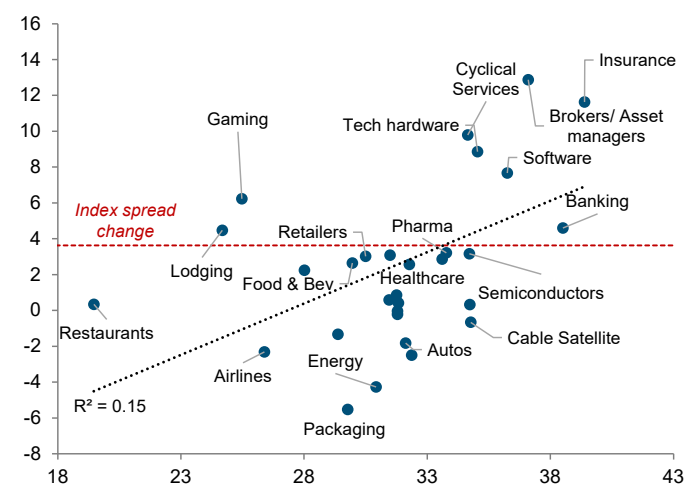
While AI disruption fears remain centered on software, they have now spread to several other sectors, including insurance, brokers, and broader financial services (see pgs. 21-23), as the foundational model providers continue to roll out new domain-specific products. Amid this, IG and HY sector performance has become correlated with exposure to AI automation, mirroring the broader risk asset rotation toward "real economy" sectors that are less exposed at the expense of white-collar services that could face more disruption risk.

Looking ahead, we think this higher dispersion dynamic will persist, for two reasons. First, continued improvements in AI capabilities will likely impact more industries. Second, dispersion within industries should rise as company outcomes diverge based on the execution of AI adoption strategies. This dispersion will make it more difficult for investors to calibrate fair value for affected sectors, and issuer selection will become increasingly important. But we still see limited scope for serious impairment, especially for higher quality firms. Beyond their incumbent status and low starting points for leverage, we

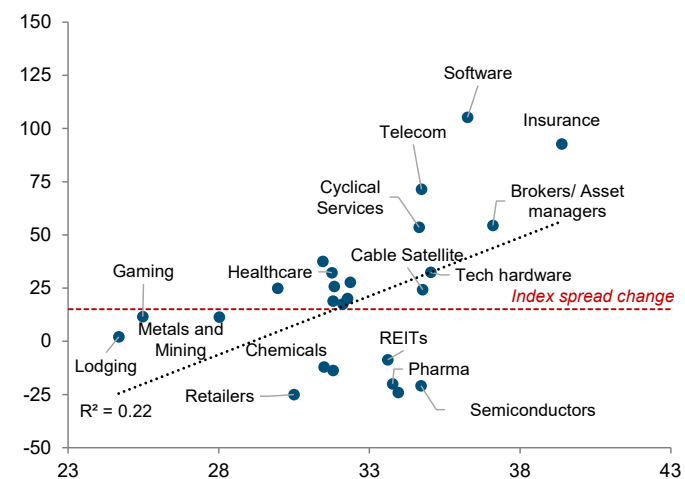
would note that the concerns around terminal values that have fueled much of the equity volatility are less salient for fixed duration credit assets, which are concerned with repayment of interest and principal.

Credit sector performance has become correlated with AI exposure

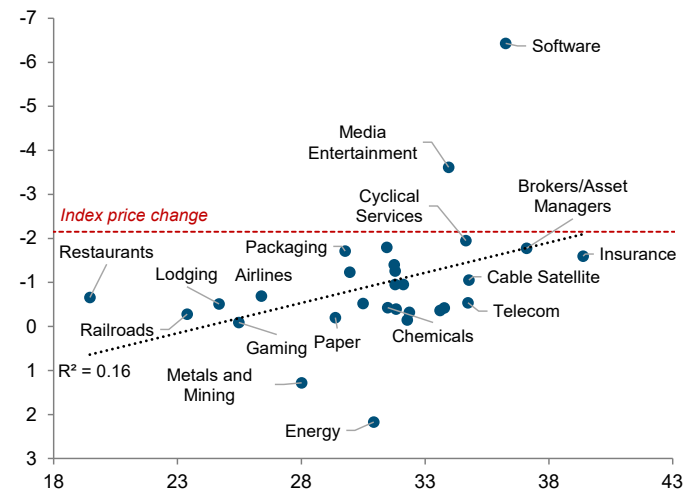
AI automation exposure, % (x-axis) vs. IG spread change YTD, bp (y-axis)



AI automation exposure, % (x-axis) vs. HY spread change YTD, bp (y-axis)



AI automation exposure, % (x-axis) vs. leveraged loan price change YTD, \$ (y-axis, inverted)



Source: Revelio, Bloomberg, Goldman GIR.

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Alts managers: limited AI risk so far

Alexander Blostein and Michael Vinci argue that Alternative Asset Managers have limited exposure to AI-related software disruptions

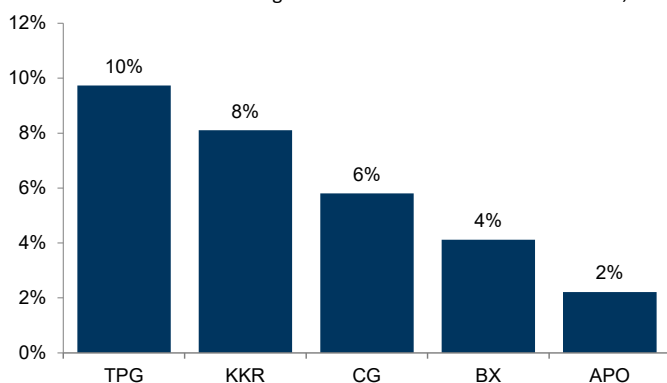
Concerns about AI-driven disruption risk have once again weighed on Alternative Asset Managers' stocks, which have declined ~27% YTD, bringing share prices and valuations below post-Liberation Day lows (NTM P/E net of stock-based compensation (SBC) at ~15X currently). This decline largely reflects concerns about software exposure across both private equity and private credit as well as fears that weaker investment performance could hamper growth. However, firmwide software exposure remains limited—averaging ~7% of total AUM—with software lending only modestly contributing to management fees, and managers have also been highly selective in their software investments, choosing those with more robust moats. While we think the recent selloff is overdone and continue to see significant upside across the sector, we remain cautious around names with outsized Retail Credit exposure given accelerating redemption requests.

Modest software exposure

Overall, we view Alternative Asset Managers' exposure to software investments as manageable. On the private equity (PE) front, while software has accounted for ~25% of industry-wide deployment volumes in recent years, exposure at Public Alternative Managers is more modest, with software activity among PE firms averaging only ~6% of total management fees. These estimates may even prove conservative as actual net exposure could be lower after managers monetized many investments in prior years.

PE software investments average ~6% of total management fees

2025 estimated firmwide management fees from Info Tech investments, %



Source: Preqin, Goldman Sachs GIR.

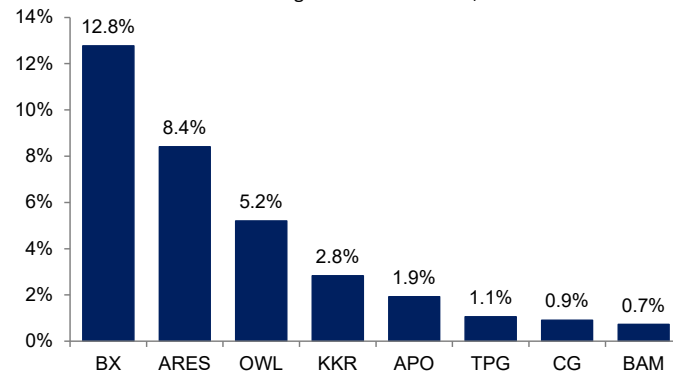
On the credit front, across BDCs (where public data is available), we estimate that software loans represent ~22% of gross loans at an industry level, with a similar share among Public Alternative Managers—~20% of Direct Lending FPAUM on average. This translates to around 25% of Direct Lending base management fees.

But software lending is a relatively small portion of firmwide management fees when accounting for the broader spectrum of Alt asset classes that GPs manage. We estimate that Direct Lending to software-oriented portfolio companies accounts for 4% of firmwide base management fees on average. Even in

the most adverse scenario of a significant markdown in software loans, our stress analysis (5%-15% mark-to-market) suggests the effect on firmwide base fees would remain in the low single-digits. And, importantly, these software loans are mostly senior secured and short duration, with the underlying companies generally showing strong EBITDA and cash flow.

Direct Lending to software-oriented portfolio companies accounts for 4% of firmwide base management fees on average

Estimated software direct lending firmwide base fees, %



Source: Company data, Goldman Sachs GIR.

Selective software investments

We also note that not all AI-related risk is created equal. Software holdings of most managers skew toward vertical, mission-critical businesses with proprietary data and platforms. These businesses are more likely to benefit from AI as opposed to the more disruption-prone horizontal software applications. AI-related risk has also become a central focus of investment processes, with one senior leader recently noting that AI is now among the first and most critical topics examined when bringing an investment before the investment committee. Evaluating AI-related risk has become a deeply embedded practice within GP investment committee deliberations and portfolio management frameworks, not just a reaction to recent market concerns.

We remain selective looking forward

While heightened market volatility and greater uncertainty related to AI disruption risks could dampen near-term PE exit activity, our conversations with management teams have given us more confidence around drawdown fund portfolio construction. That said, we continue to believe that sentiment/headlines will weigh on retail/wealth flows. While the group's earnings streams remain highly durable, we see a slower pace of retail fundraising/accelerating Credit redemption trends potentially weighing on growth. Despite the disruption, deployment outlooks are constructive, and for Opportunistic Credit managers, most see opportunity in the current backdrop. We continue to think the group's earnings base and management fee growth are considerably more durable than current valuations suggest and see significant upside across the space.

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AI disruption: equity sector impacts

What types of companies in your coverage universe could be disrupted by and, conversely, benefit from new AI tools, and how much of this is already priced into stocks?

Consumer Internet

Eric Sheridan and team, GS Equity Research

- AI tools are currently having a democratizing effect on product development and innovation within the consumer internet sector, presenting disintermediation risk while also driving efficiency gains. Within our TMT coverage universe, digital advertising and gaming are the most exposed subsectors to AI disintermediation risk and have also seen the most advanced adoption of AI tools—a trend that the recent declines in several gaming and advertising stocks reflects.
- Digital advertising, in particular, has advanced the furthest in AI-driven product development and end-user adoption (outside of cloud computing). Companies within the subsector are currently integrating AI into four key workflows: campaign planning and strategy, creative development, media buying and optimization, and CRM and personalization. GOOGL's Performance Max and META's Advantage+ have been exceptionally successful in integrating multiple AI use cases into a single product. These AI-powered tools have the potential to both "abstract away"/automate many advertising services as well as improve the overall performance and efficiency of ad spend. This should result in shifting profit dynamics including: 1) accelerating the shift of ad spend from traditional to digital channels (an estimated \$170bn addressable opportunity), 2) automating ad creative generation (~\$114bn), 3) consolidating ad tech "intermediaries" (~\$25bn), and 4) disrupting the traditional role of ad agencies (~\$161bn).
- Beyond online advertising, the specter of AI disruption has caused outsized volatility across many other subsectors—including media & advertising, online marketplaces, online dating, travel, online education, and online gaming & gambling—which we expect to persist. Incumbent consumer internet platforms are playing a mix of "offense" (launching AI-driven consumer applications that enhance their existing offerings and revenue) and "defense" (developing AI capabilities to counter competitive applications that could be disruptive to existing legacy applications) to counter AI disruption risk. Several companies are also partnering directly with leading AI platforms to drive direct traffic and monetization. Examples include ChatGPT in-app integrations, agentic commerce, in-app chatbot placement, and data/content licensing for model training.

US Business and Information Services

George Tong, GS Equity Research

- Concerns over AI-driven disintermediation have sparked a sharp de-rating of the Information Services sector since mid-2025, with the sector experiencing a particularly notable valuation step-down in early Feb 2026. The median NTM P/E multiple in our Info Services coverage has fallen from 32x in June 2025 to 20x currently as investors worry that free or cheaper AI tools could diminish or eliminate demand for existing Info Services offerings. However, we believe some companies in the sector are better positioned to withstand AI disruption than others.
- Companies with a sustainable moat against AI are those with proprietary data, entrenched workflows with customers, scale and brand advantages, and/or a regulatory moat, and have made meaningful AI investments. These firms are not only insulated from AI risks but also are positioned to benefit from AI integration via product upgrades, accelerated pricing increases, increased cross-selling, higher retention rates, and new business growth. From a stock perspective, the multiples of many of these firms have recently contracted, making them attractive buying opportunities. The market may be overestimating the AI-related hit to these firms' organic revenue growth (with some estimates in the mid-to-high single digits) and we believe earnings at these firms remain stable and are not in a negative revision cycle. Upcoming earnings results that demonstrate beat-and-raise patterns and sustained momentum in organic revenue growth should act as a catalyst for valuation upside, in our view.
- By contrast, firms most vulnerable to AI disruption are those that have limited proprietary content, weak integration with client workflows, limited scale or brand advantages, no regulatory moat, and/or haven't invested enough in AI themselves. They also face potential headwinds from lower demand for white collar staffing roles due to AI automation.

North American Insurance

Robert Cox and team, GS Equity Research

- Recent reports that OpenAI has incorporated insurance services directly into ChatGPT sparked a significant selloff in insurance providers. We believe Private and Commercial (P&C) insurance companies will need to adapt to keep pace with these emerging AI tools. Certain personal lines & micro business insurance brokers are the most vulnerable to disruption as competitors increasingly leverage AI to simplify the purchase of lower complexity products like auto/home insurance and disrupt various consulting services. Shifts in distribution could also impact auto/home insurers' customer acquisition models, with auto insurers also facing long-term TAM concerns from increasing autonomous vehicle (AV) penetration. Commercial (re)insurers are well positioned as trusted, efficient, regulated capital allocators, especially if they quickly move to embrace AI efficiencies. Larger insurance brokers are also well positioned due to the data and structural moats associated with complex consulting and brokerage, however certain small account broking and less complex consulting could be exposed to AI disruption.
- We think both insurers and brokers can achieve significant efficiency gains through AI automation. Larger market cap firms with big technology budgets will likely benefit first. Insurers are using AI to automate claims processing and speed up policy handling, while brokers aim to automate routine processes/services. First movers are likely to see near- to medium- term margin/growth benefits, although whether these benefits will ultimately lead to lower premiums for customers remains an open question.
- The market has primarily focused on the risk of revenue disruptions from AI rather than on potential efficiency gains. While valuations for P&C insurers are under pressure from concerns about a softer pricing cycle, making it more difficult to isolate AI impacts, the market is clearly penalizing insurance brokers for potential revenue risks—a move which we think is overdone. Auto insurers have faced multiple contraction from AVs and could see revenue disruption from AI-based distribution platforms, but we think these headwinds will ultimately be manageable for underwriters with historically strong direct underwriting platforms. By contrast, commercial (re)insurers are in some cases benefiting from reported AI efficiency gains—CB has reported a ~20% headcount reduction over 3-4 years—and are seen as relatively safe from revenue disruption.

CRE Services

Julien Blouin, GS Equity Research

- We believe AI disruption concerns across CRE services businesses are significantly overstated. The physical nature of the CRE ecosystem provides meaningful insulation versus digitally-native industries. Historical precedents—listings platforms, online property management, virtual tours, automated valuation models—show that CRE technology adoption unfolds over years and decades, not quarters, and most importantly these innovations improved transparency, efficiency, and productivity but did not structurally disintermediate CRE brokerage and service providers.
- Transactional brokerage businesses face the most theoretical AI exposure, particularly for standardized mid-market mandates where AI can drive underwriting automation, OM generation, lease abstraction, and buyer matching. Yet wholesale disintermediation remains unlikely given the relationship-driven, localized, negotiated, and liability-bearing nature of CRE transactions (particularly for larger deals). Facilities, property, project, and investment management businesses are even more insulated as they are operationally complex, and often require on-premises workers/technicians. We believe AI will enhance functions like scheduling, cost control, and predictive maintenance rather than eliminate demand.
- The valuation opportunity is compelling. CRE services companies are benefiting from a transaction recovery that remains mid-cycle, with volumes still 44% below 2021–2022 peaks and 20% below 2017–2019 levels. Yet sector multiples have contracted sharply on AI fears, reverting to 2023 discounts versus the S&P Equal Weight—levels last seen when transactions were under extreme pressure. We view this selloff as an attractive entry point into a sector with powerful structural and cyclical tailwinds, supporting double-digit earnings CAGRs through 2028.

European Financials

Oliver Carruthers and team, GS Equity Research

- Within our European Financials coverage universe, AI disruption concerns have centered on market structure firms such as LSEG and DB1, though their AI exposure varies. LSEG's stock has declined since mid-2025 amid concerns that AI-powered analysis could disrupt its data business.
- More recently, focus has also turned to private markets and their exposure to software-based service business models. A de-rating of public software comparables off the back of AI-disruption concerns could lead to negative mark-to-market adjustments for portfolio companies and limit near-term monetization. That said, many private equity firms are benefitting from rising AI demand, including through digital infrastructure investments. And traditional asset managers have largely been shielded from AI disruptions with managers actively leveraging AI to boost efficiency and alleviate margin pressure as well as enhance efficiency across client servicing, risk management, and investment intelligence.
- AI disruption poses greater risk for private credit managers as fund performance is more sensitive to dispersion and, unlike buyout funds, private credit managers cannot offset losses with investments into "winners". We've seen significant underperformance among Alternative Asset Managers, with private credit-focused firms most impacted. Wealth managers and investment platforms also experienced an AI-related selloff after Altruist launched an AI-powered tax planning tool, which raised concerns that automated advice tools could increase competition and compress fees. However, we note that these tools also have the potential to enhance adviser productivity and increase efficiency for firms able to strategically integrate AI into their offerings.

European transport, infrastructure, and construction

Patrick Creuset and team, GS Equity Research

- When it comes to AI risk, the main debates in the European transport, infrastructure, and construction sector center around 1) whether the incumbents will be disrupted by AI technological progress, and 2) the extent to which AI productivity gains will be deflated away.
- We view the AI disruption risk as relatively low for the sector as incumbents benefit from large physical networks (e.g., sizable blue-collar workforces as well as numerous physical gateways and warehouses), have higher value-add proposition (e.g., end-to-end supply chain management), and benefit from network effects—all of which will be difficult for new AI-native entrants to match. Incumbents also stand to unlock significant advantages from integrating AI technology into their existing operations, further supporting their resilience.
- We are also less concerned about the prospect of AI-related productivity gains being deflated away. While some productivity gains will likely be passed on to customers—as has historically been the case within the industry—we expect the magnitude of productivity gains to be meaningfully larger than the potential yield erosion.
- Asset-light logistics companies are particularly well-positioned to benefit from integrating AI tools into their ongoing digitization push. The sector's SG&A operations have historically involved many repetitive, documentation-intensive tasks, including quoting, booking, carrier payment tracking, and customs clearance. We believe that further digitization and AI deployment will eventually enable industry players to automate some of these workflows and improve efficiency.

Glossary of GS proprietary indices

Current Activity Indicator (CAI)

GS CAIs measure the growth signal in a broad range of weekly and monthly indicators, offering an alternative to Gross Domestic Product (GDP). GDP is an imperfect guide to current activity: In most countries, it is only available quarterly and is released with a substantial delay, and its initial estimates are often heavily revised. GDP also ignores important measures of real activity, such as employment and the purchasing managers' indexes (PMIs). All of these problems reduce the effectiveness of GDP for investment and policy decisions. Our CAIs aim to address GDP's shortcomings and provide a timelier read on the pace of growth.

For more, see our CAI page and Global Economics Comment: Technical Updates to Our Global CAIs.

Dynamic Equilibrium Exchange Rates (DEER)

The GSDEER framework establishes an equilibrium (or "fair") value of the real exchange rate based on relative productivity and terms-of-trade differentials.

For more, see our GSDEER page, Global Economics Paper No. 227: Finding Fair Value in EM FX, 26 January 2016, and Global Markets Analyst: A Look at Valuation Across G10 FX, 29 June 2017.

Financial Conditions Index (FCI)

GS FCIs gauge the "looseness" or "tightness" of financial conditions across the world's major economies, incorporating variables that directly affect spending on domestically produced goods and services. FCIs can provide valuable information about the economic growth outlook and the direct and indirect effects of monetary policy on real economic activity.

FCIs for the G10 economies are calculated as a weighted average of a policy rate, a long-term risk-free bond yield, a corporate credit spread, an equity price variable, and a trade-weighted exchange rate; the Euro area FCI also includes a sovereign credit spread. The weights mirror the effects of the financial variables on real GDP growth in our models over a one-year horizon. FCIs for emerging markets are calculated as a weighted average of a short-term interest rate, a long-term swap rate, a CDS spread, an equity price variable, a trade-weighted exchange rate, and—in economies with large foreign-currency-denominated debt stocks—a debt-weighted exchange rate index.

For more, see our FCI page, Global Economics Analyst: Our New G10 Financial Conditions Indices, 20 April 2017, and Global Economics Analyst: Tracking EM Financial Conditions – Our New FCIs, 6 October 2017.

Goldman Sachs Analyst Index (GSAI)

The US GSAI is based on a monthly survey of GS equity analysts to obtain their assessments of business conditions in the industries they follow. The results provide timely "bottom-up" information about US economic activity to supplement and cross-check our analysis of "top-down" data. Based on analysts' responses, we create a diffusion index for economic activity comparable to the ISM's indexes for activity in the manufacturing and nonmanufacturing sectors.

Macro-Data Assessment Platform (MAP)

GS MAP scores facilitate rapid interpretation of new data releases for economic indicators worldwide. MAP summarizes the importance of a specific data release (i.e., its historical correlation with GDP) and the degree of surprise relative to the consensus forecast. The sign on the degree of surprise characterizes underperformance with a negative number and outperformance with a positive number. Each of these two components is ranked on a scale from 0 to 5, with the MAP score being the product of the two, i.e., from -25 to +25. For example, a MAP score of +20 (5;+4) would indicate that the data has a very high correlation to GDP (5) and that it came out well above consensus expectations (+4), for a total MAP value of +20.

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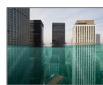
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Disclosure Appendix

Reg AC

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TOP^{of} MIND

AMERICAS FIRST



The Trump Administration kicked off 2026 with a new, more forceful foreign policy, driven by the so-called “Donroe Doctrine”. So, what could “America First” evolving to “Americas First” mean for economies, assets, and geopolitical risk? Trump’s former Special Envoy for Latin America, Mauricio Claver-Carone, and Johns Hopkins SAIS’ Hal Brands discuss the motives behind the Donroe Doctrine and agree it portends more action in the Western Hemisphere. GS’ Alberto Ramos then explores the implications for regional economies, and GS’ Neil Mehta and Daan Struyven dig into the implications for the asset at the center of recent events: oil. But with perhaps the most profound implication being the rise in geopolitical risk, we ask the Centre for Liberal Strategies’ Ivan Krastev what’s ahead for US-Europe relations

(a rocky period, but not a divorce) and GS’ Christian Mueller-Glissmann how to protect portfolios (diversify, don’t time), with GS’ Kamakshya Trivedi also seeing value in a surprisingly resilient corner of the market: EM assets.



The prospect of a fundamental shift in US policy is more real now than at any point in the last 70 years.

- Hal Brands

President Trump has long believed that the US can’t be the preeminent global power if it’s not the preeminent regional power.

- Mauricio Claver-Carone

The [US-Europe] relationship looks to be headed for a rocky period, but not a divorce.

- Ivan Krastev



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INTERVIEWS WITH:

Hal Brands, Professor, Johns Hopkins School of Advanced International Studies, Senior Fellow, AEI

Mauricio Claver-Carone, Managing Partner, LARA Fund, Former US Special Envoy for Latin America and Senior Director for Western Hemisphere Affairs at the NSC in the Trump Administration

Ivan Krastev, Chair, Centre for Liberal Strategies in Sofia

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Kamakshya Trivedi, GS FX and EM Research

Q&A ON DEFENSE SECTOR GEOPOLITICAL RISK

Noah Poponak and Sam Burgess, GS Equity Research ...AND MORE

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We provide a brief snapshot on the most important economies for the global markets

US

Latest GS proprietary datapoints/major changes in views

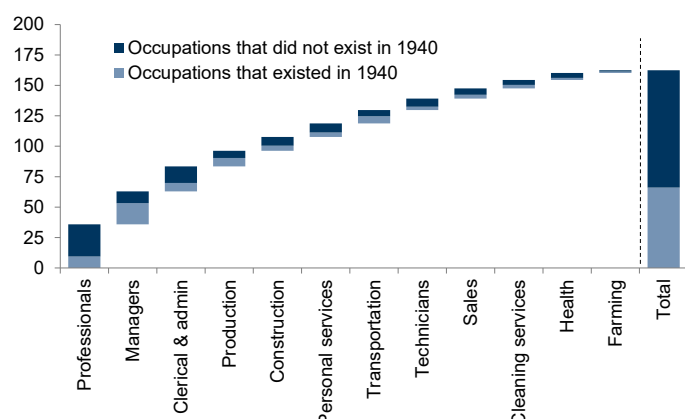
- We now expect two 25bp cuts in Jun and Sept (vs. Mar and Jun previously) to a terminal rate range of 3-3.25%.
- We recently lowered our 12m US recession probability to 20% (vs. 30%) partly owing to early signs of labor market stabilization.

Datapoints/trends we're focused on

- US growth; we expect somewhat stronger growth of 2.5% in 2026 (Q4/Q4) as the tariff drag gives way to a fiscal boost.
- US government shutdown, the odds of which have spiked.
- DoJ investigation into Fed Chair Powell, which we don't expect to impact Fed policy for now, but we find that a less independent Fed would put upward pressure on inflation.
- AI job apocalypse concerns, which we think are overblown.

Technological change: a key driver of job growth

Employment by new and pre-existing occupations, millions



Source: Goldman Sachs GIR.

Japan

Latest GS proprietary datapoints/major changes in views

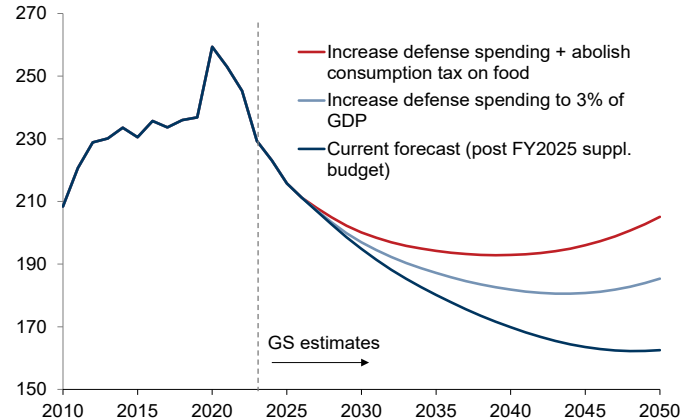
- No major changes in views.

Datapoints/trends we're focused on

- Japanese growth; we expect still-steady growth of 0.8% in 2026 (yoy) led by domestic demand, but see external demand slowing slightly amid higher Japan-China tensions.
- BoJ policy; we expect the BoJ to hike at a semiannual pace, with the next hike in July, to a policy rate of 1.5% by mid-2027, though the timing of the next hike is uncertain.
- Japanese fiscal fears, which have risen on the back of the looming Lower House election (February 8), with all political parties advocating for a consumption tax reduction.

Japan: a potential undermining of fiscal health ahead

Japanese government debt-to-GDP ratio by scenario, % of GDP



Source: Ministry of Finance, Cabinet Office, Goldman Sachs GIR.

Europe

Latest GS proprietary datapoints/major changes in views

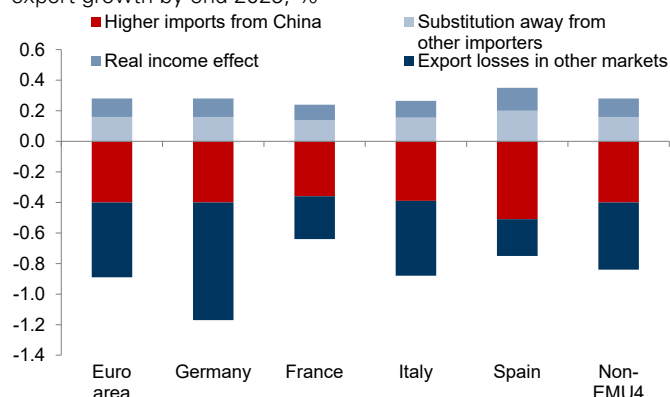
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Datapoints/trends we're focused on

- EA growth; we expect real GDP growth of 1.2% in 2026 (yoy) reflecting real income gains and a fading fiscal drag but growing headwinds from increased competition with China.
- UK economy, for which we expect another mixed year in 2026 characterized by trend-like growth and a further rise in unemployment but much lower inflation and more BoE cuts.
- Trade policy; we see only limited downside to European growth and limited upside to inflation if the US-EU trade deal implementation remains stalled.

Europe: a meaningful drag from China Shock 2.0

Estimated country-level real GDP impact of higher Chinese export growth by end-2029, %



Source: Haver Analytics, Goldman Sachs GIR.

Emerging Markets (EM)

Latest GS proprietary datapoints/major changes in views

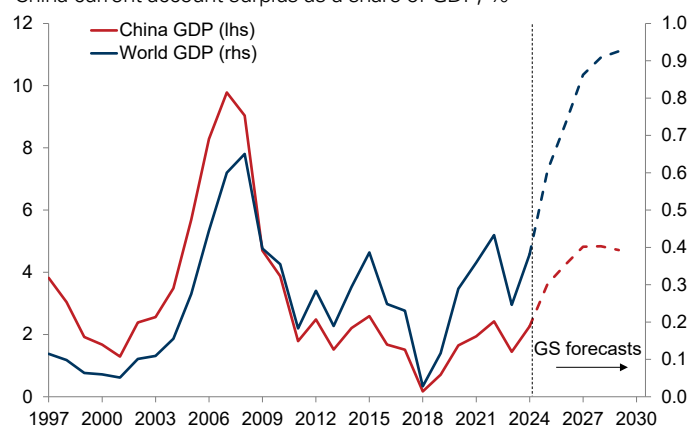
- No major changes in views.

Datapoints/trends we're focused on

- China's current account surplus, which we expect to rise further over the next several years to almost 1% of global GDP, the biggest of any country in recorded history, owing to China's manufacturing strength and weak domestic demand.
- China policy easing; we expect more easing this year, including two 10bp rate cuts, which should support our above-consensus growth and inflation forecasts.
- EM policy normalization, which we expect to continue amid further inflation normalization, including in Brazil and CEEMEA.

China current account surplus: rising to record levels

China current account surplus as a share of GDP, %



Source: IMF, Haver Analytics, Goldman Sachs GIR.

Americas First

The Trump Administration kicked off 2026 with a new, more forceful foreign policy, driven by the so-called “Donroe Doctrine”—a corollary to the Monroe Doctrine that aims to expand US influence and control in the Western Hemisphere (see pg. 8). What the evolution of “America First” to “Americas First”—and potentially beyond—means for economies, assets, and geopolitical risk more broadly is Top of Mind.

We first turn to Mauricio Claver-Carone, President Trump’s former Special Envoy for Latin America and Senior Director for Western Hemisphere Affairs at the NSC, and Johns Hopkins School of Advanced International Studies’ Hal Brands for more insight into the Donroe Doctrine and the Trump Administration’s potential next moves.

Claver-Carone explains that the Donroe Doctrine reflects Trump’s long-held belief that “the US can’t be the preeminent global power if it’s not the preeminent regional power” (see pg. 9). This belief is driving Trump to reassert US dominance in Latin America with the overarching goal of strengthening US security—namely, national security and, importantly, energy security, which Claver-Carone says are closely linked. He sees no contradiction between this and Trump’s “America First” policy, arguing that “Americas First” is its natural extension.

Brands, for his part, sees two motivating factors behind the Donroe Doctrine, which he characterizes as “a reversion to an earlier style of statecraft”: the US’ desire to consolidate its position in the Western Hemisphere amid a new era of great power rivalry, and Trump’s desire to increase America’s control of hemispheric resources (think oil and territory).

But Claver-Carone and Brands agree: the Donroe Doctrine portends more action in the Western Hemisphere ahead. Claver-Carone expects the Trump Administration to continue pursuing “practical partnerships” with Latin American countries. And Brands underscores the importance of the Greenland issue (see pg. 14), suggesting that it likely won’t be easily resolved, though he also argues that “we shouldn’t view the Donroe Doctrine as a constraint on action elsewhere” (e.g. Iran).

So, what could this all mean for regional economies? Alberto Ramos, GS Head of LatAm Economics Research, doesn’t expect major economic spillovers from the developments in Venezuela to the rest of Latin America given their minimal linkages owing to Venezuela’s strikingly prolonged and deep depression and hyperinflation. He sees similarly limited political implications as voters in several Latin American countries (Peru, Brazil, and Colombia) are set to head to the polls later this year.

And what about exposed assets? Ramos recounts the many uncertainties facing Venezuela’s defaulted bonds amid potential debt restructuring. Neil Mehta, GS Head of North American Natural Resources Equity Research, and Daan Struyven, Co-head of Global Commodities Research, then dig into the global

asset at the center of the recent developments—oil. Struyven expects the Administration’s plan to revitalize Venezuela’s beleaguered oil sector to result in a modest increase in Venezuelan oil production and a modestly negative impact on oil prices over the next several years, with more significant oil price impacts over the longer run as production ramps up further (see pg. 11 for a map of Venezuelan oil assets).

But the most profound and potentially lasting implication of the recent developments is the rise in geopolitical risk (see pg. 18). We speak with the Centre for Liberal Strategies’ Ivan Krastev about the future of the US-Europe relationship, which he describes as at a “turning point but not a breaking point” given Europe’s security, economic, and technological dependence on the US as well as American political realities that may constrain US policy. But he expects a rocky period in the relationship ahead given that trust has been broken, not just because of Greenland, but also because of US actions vis-à-vis Ukraine and the US’ broader treatment of Europe.

And Brands sees even broader geopolitical implications, arguing that US designs on Greenland may test the global territorial status quo that has prevailed post WWII. He warns that the US deciding to play a fundamentally different role in the world than it has in the past 70 years could lead to significant changes in everything from nuclear proliferation, to the security of seaborne transit and democracy, to Dollar dominance.

So, what does this elevated geopolitical risk environment mean for global investors? Christian Mueller-Glissmann, GS Head of Asset Allocation Research, offers guidance on how to protect portfolios against this risk. He argues that rather than trying to time geopolitical shocks, investors’ first line of defense should be diversification. He sees value in several diversification strategies: turning to bonds and other safe havens like the Swiss Franc, increasing allocations to assets that could benefit from geopolitical shocks (like gold and the defense sector, which GS defense analysts Noah Poponak and Sam Burgess believe has not yet fully priced in elevated geopolitical risk), limiting direct and indirect exposures, and hedging with options.

Kamakshya Trivedi, GS Chief FX & EM Strategist, also sees value in a surprisingly resilient corner of the market: EM assets, which have held up despite elevated geopolitical risk, which typically weighs on EM relative performance. He expects this resilience to continue this year, with EM assets’ role as diversifiers further increasing their value proposition. In this context, Trivedi believes frontier assets are also worth a look.

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Interview with Hal Brands

Hal Brands is Henry A. Kissinger Distinguished Professor of Global Affairs at the Johns Hopkins School of Advanced International Studies and Senior Fellow at the American Enterprise Institute. Below, he discusses the US' renewed assertiveness in the Western Hemisphere, which he argues could have major repercussions for the global order.

The views stated herein are those of the interviewee and do not necessarily reflect those of Goldman Sachs.



Allison Nathan: In 2024, you argued that a second Trump presidency would feature a “revitalized Monroe Doctrine”. What factors are motivating the US’ more forceful posture in the Western Hemisphere?

Hal Brands: I see two motivating factors—one structural, one personal. The structural factor is the US’ historic

pattern of attempting to consolidate its position in the Western Hemisphere when the rest of the world is falling apart. During both World Wars and the Cold War, the US worked hard to try to ensure its dominance in the Western Hemisphere. So, it's not surprising that the US is now doing the same as the world enters a new era of great power rivalry.

The personal factor revolves around President Trump's long-held interest in renewing the Monroe Doctrine to increase the US' control of hemispheric resources, like oil, and territory, specifically from Panama, Canada, and Greenland. The President is also intensely focused on tangible threats to American sovereignty and security rooted in hemispheric issues like drug trafficking and migration. Putting all this together, it's not surprising that this Administration has focused on reconsolidating US primacy in the Western Hemisphere.

What is a bit more surprising is how energetic the Administration has been in doing so. The Venezuela intervention has received substantial attention, but it's just the capstone of a much bigger and broader campaign that has featured diplomatic pressure on Colombia and Panama, economic support to allies like the Milei government in Argentina, partnerships with El Salvador's Bukele government and other ideological fellow travelers, lethal strikes on drug boats, and an array of other military, diplomatic, and economic initiatives. In many ways, this has been the centerpiece of Trump's foreign policy so far.

Allison Nathan: So, it's right to think that oil was a key motivation for the Venezuela actions?

Hal Brands: Resource control is undoubtedly at the forefront of the President's calculus. He has long associated it with national power, often remarking that the primary mistake in the American invasion of Iraq was not “taking the oil”. In describing US aims in Venezuela since the intervention, Trump has said very little about democracy and good governance, and even relatively little about drug trafficking. He talks *a lot* about the US exerting greater control over the disposition and sale of Venezuelan oil and the desire for greater openness of the Venezuelan oil industry to the US oil majors. Others in the Administration may value different things in this Trump Corollary to the Monroe Doctrine, but for Trump himself, the

primary issues are essentially about economic gain and a neo-mercantilist approach to international economics.

Allison Nathan: Is that what differentiates the “Donroe Doctrine” from the Monroe Doctrine?

Hal Brands: The Monroe Doctrine's meaning has evolved over time. It was initially about preventing the reimposition of colonial control by European powers. During the 20th century, it became about keeping fascist and communist regimes out of the hemisphere. In some ways, the “Donroe Doctrine” is a throwback—it is a reversion to an earlier style of statecraft that is much less apologetic about the desire to control the resources of weaker countries and much more willing to talk about outright territorial acquisition and other ideas that went out of style with the end of the age of imperialism. It's sometimes said that Trump is trying to revive a 19th century style of foreign policy. I agree that he would likely feel quite at home if he were presiding over some of the US' interventions in Latin America in the late 19th and early 20th centuries. Indeed, the tactics he has used in Venezuela—overthrowing a government and exerting control of the country's trade revenues—aren't that different from what the US did in places like the Dominican Republic well over a century ago.

Allison Nathan: With that context, why do you think the Administration chose to leave the rest of the Maduro regime in place?

Hal Brands: Trump is seeking maximum leverage and gain with minimum long-term investment of resources and political capital. He burst onto the domestic political scene 10 years ago by arguing that the US had made terrible mistakes by undertaking nation-building missions in Afghanistan and Iraq. And flying Maria Corina Machado or Edmundo Gonzalez into Caracas in the hours after Maduro's apprehension probably would have incited a lot of instability by putting them in conflict with the remnants of the Maduro regime. So, the mechanism Trump has settled on is a 21st century version of gunboat diplomacy, where the US will work through the existing authorities while threatening them with punishment if they don't do the Administration's bidding.

Allison Nathan: What do these developments mean for other countries in the region, many of which are slated to hold elections this year?

Hal Brands: They serve notice to any vulnerable anti-American regimes playing strategic footsie with China and Russia that they will likely face greater US pressure. Cuba might be the best example. That said, I'm skeptical that the US would undertake a large-scale military intervention in Cuba because a collapse of that regime might produce a flood of refugees headed for the US. More broadly, countries from Colombia to Mexico will likely feel pressure to act with greater urgency on

issues related to narcotrafficking, which we're already seeing evidence of in the discussions the US and Mexico appear to be having about a potential role for the US military in going after cartels operating in Mexico, as well as some of Trump's comments about Colombia.

The domestic political implications of these shifts will vary given the array of political cultures and levels of susceptibility to US interests throughout the region. In Brazil, the political culture to some degree has long been interwoven with resistance to US influence in Latin America, even in periods when conservative military governments in Brazil worked very closely with the US. So, I wouldn't be shocked if US efforts backfire to some degree in the next Brazilian election. But it could go the other way there and/or in other countries, where the US either has more influence or where a homegrown swing to the right or in the direction of neo-populist politics occurs.

Allison Nathan: What lessons do you think China and Russia are taking from the recent US actions, and how are they shifting their calculus in the region?

Hal Brands: Beijing and Moscow have run up hard against the reality of US hard power in the Western Hemisphere. Whether it's the US Navy and Coast Guard seizing shadow fleet tankers, the US forcibly deposing Maduro, or the Pentagon shooting up drug boats in the Caribbean, neither China nor Russia can do much to contest the application of American military power in the Western Hemisphere. That said, China's influence in the region in particular is multifaceted and deeply embedded in everything from trade relationships to the diffusion of technology to physical and digital infrastructure, all of which will persist to some degree.

It's important to note that China's influence is not simply imposed on Latin American countries, but a response to their needs. Big gaps in physical and digital infrastructure exist in the region, which China is well-placed to address. So, Beijing will play the long game and continue to attempt to win influence in the region through economic, political, and, in some cases, low profile security relationships that will focus more on internal security than traditional military functions. If anything, the recent developments likely mark the start of an even more intense phase of competition for influence in the region.

Allison Nathan: How does Greenland fit into Trump's plan, and what might that suggest about his next steps there?

Hal Brands: Greenland is both a hemispheric and global issue. It's a hemispheric issue in the sense that the Trump Administration views consolidating US control of Greenland as part of the larger effort to revive the Monroe Doctrine. And they can point to historic examples of the US increasing its influence in Greenland as part of a strategy of hemispheric defense, as President Roosevelt did in the run-up to US entry into WWII.

It's also a global issue, for two reasons. First, Greenland powerfully affects the fate of NATO and the transatlantic community; it's hard to overstate the degree of outright alarm that Canada and many European countries feel about US designs on the territory. Second, Greenland is the best test of whether the US will seek changes to the global territorial status quo. That's an explosive issue because China and Russia are attempting to do much the same thing in the South China

Sea/Himalayas and Ukraine, respectively. So, a world in which the US also aims to redraw borders through coercion or even force is a world in which the three most powerful countries are all violently or coercively disrupting the territorial status quo. That's something we haven't seen since the 1930s and could be deeply corrosive to the post-1945 global order.

Allison Nathan: So, recent US actions have helped further the ambitions of China and Russia in some respects?

Hal Brands: Both countries were undoubtedly unhappy to see Maduro go, especially at the hands of ruthlessly efficient US military power. But recent developments aren't entirely bad news for Beijing and Moscow. A world in which international law and norms matter less, and great powers are free to do as they like, especially in their own backyards, is a world in which Chinese and Russian leaders would feel comfortable. In fact, that's exactly the world they aim to bring about. And if an intensification of US military activity in the Western Hemisphere pulls resources away from other regions, as was the case when Trump redeployed an aircraft carrier covering the Middle East and Europe from the Mediterranean to the Caribbean, that's even better news for them.

Allison Nathan: How does Iran fit in here?

Hal Brands: Iran is a key reason why we should be skeptical of the idea that the world is rapidly transitioning into a spheres of influence arrangement. Trump wants an American sphere of influence in the Western Hemisphere, but he also likes to maintain unhindered freedom of action globally when he views it as advantageous to him. This was clear in the recently-released national security strategy. This Administration has also conducted two major military interventions in the Middle East and threatened others. We shouldn't view the Donroe Doctrine as a constraint on action elsewhere.

Allison Nathan: Amid all this, what geopolitical risks should companies and investors be most focused on?

Hal Brands: The mega risk is the potential for the US to decide to play a fundamentally different role in the world. We have lived for so long in the post-1945 international order in which US power was wielded to secure strong prohibitions on forcible conquest, freedom of navigation to support and propel the global economy, and protection of human rights and the spread of democracy, that it's difficult to conceive of a world without that leadership. Such a world would likely see more countries pursuing nuclear weapons, greater disorder on the high seas that would impact global trade and finance, a challenge to Dollar dominance, and a global retreat of democratic values.

30 years ago, I would have said there was little chance of such a shift. 15 years ago, I would have said signs of retrenchment-minded inclinations in the US foreign policy debate had grown. We now have a US president who often expresses a desire for fundamental change in US foreign policy and the way the US engages in the global economy, even if the policies don't always match the rhetoric. So, the prospect of a fundamental shift in US policy is more real now than at any point in the last 70 years. The stakes are high, and the choices the US makes in the coming years will not only determine its own role on the world stage, but also the trajectory of the international order.

Interview with Mauricio Claver-Carone

Mauricio Claver-Carone is Managing Partner of the Latin America Real Assets Opportunity Fund. He served as US Special Envoy for Latin America and Senior Director for Western Hemisphere Affairs at the National Security Council in the Trump Administration. Below, he argues that President Trump views US dominance in the Western Hemisphere as essential for global preeminence, and that “Americas First” is a natural extension of “America First”.

The views stated herein are those of the interviewee and do not necessarily reflect those of Goldman Sachs.



Jenny Grimberg: You played a key role in foreign policy in the Western Hemisphere during both Trump Administrations. What’s behind President Trump’s focus on the region, and do you sense a shift in that focus from his first term?

Mauricio Claver-Carone: President Trump has long believed that the US can’t be the preeminent global power if it’s not the preeminent regional power. That is the “Donroe Doctrine”. And contrary to widespread perception, this reflects the President’s own thinking, not his advisors’ influence. President Trump is a developer from New York—he thinks in terms of building neighborhoods. He has traveled throughout the region and knows it well. And he believes that no region in the world impacts Americans’ daily lives more than Latin America and the Caribbean from a security, economic, and social perspective.

I’ve seen firsthand many times how focused the President has been on this, and on the US’ waning influence and positioning in the region over the last two decades, especially vis-à-vis China. During periods of conflict in Afghanistan and Syria in his first term, President Trump would incredulously remark on how eagerly and easily the US sent troops to those countries yet was too scared to have any type of presence in its own hemisphere. And I remember at one point during the intensifying crisis that gripped Venezuela in 2019, the President being disturbed to learn that the US Navy had no ships in the vicinity of the Caribbean because they were all deployed to the Persian Gulf, South Asia, and the Mediterranean.

That said, given his team was distracted by the Middle East and Asia at the time, President Trump’s first term was largely about facilitating a pivot from China in the region. The Administration focused on setting frameworks to, mostly through soft power, execute this pivot, which led to the creation of the America Crece Initiative to catalyze private sector investment in energy and infrastructure projects across Latin America and the Caribbean.

The second term, by contrast, is about the implementation of President Trump’s vision for the region. He made that vision extraordinarily clear during his second inauguration as he harkened back to President McKinley and the golden era of American influence, projected not only through policy—the Monroe Doctrine and, later, the Roosevelt Corollary to it—but also through brick-and-mortar initiatives like the Panama Canal. And this time around, his team is aligned with that vision. Secretary of State and National Security Advisor Marco Rubio understands and cares about the region and President Trump’s vision for it. Deputy Chief of Staff for Policy and Homeland

Security Advisor Stephen Miller is also focused on the region owing to his holistic approach on immigration and his view that immigration would be less of a problem for the US if Latin American countries were thriving. And, in contrast to the secretary of defense in the first Administration, who didn’t believe that the Department of Defense should be involved in counternarcotics, Secretary of Defense Pete Hegseth is very involved.

Jenny Grimberg: What does the President hope to achieve by reasserting US influence in Latin America?

Mauricio Claver-Carone: The Trump Administration’s actions in Latin America—from the Venezuela operation to the relationship it created with Mexico to the historic support it lent Argentina during its economic crisis last year—are based first and foremost on US security. This runs the gamut from national security in terms of halting narcotic and migrant flows and reducing terrorism risk to energy security. The Achilles heel of Latin America and the Caribbean in particular is energy. Fidel Castro always understood that, which is why he helped install Hugo Chavez and viewed Venezuela as his golden crown. And Caribbean countries’ pressing need for energy led to the formation of PetroCaribe, an initiative launched by Chavez to supply Venezuelan oil to these countries on favorable financial terms, which allowed Venezuela to essentially control the Caribbean for many years.

Energy security is closely intertwined with national security, as high energy costs have been a key driver of migration throughout Central America. So, energy security is incredibly important, which is consistent with President Trump’s desire to increase oil production in the Western Hemisphere. The US is an energy powerhouse in its own right, and many Latin American countries could be too with proper management. US influence can play a crucial role here. Guyana currently produces more oil than Venezuela, largely because the Guyanese government has worked hand-in-hand with US companies to develop the right policies from the get-go and leave behind the nationalist ideological strains that were embedded into the psyche of the regional population during the 20th century revolutions.

Jenny Grimberg: Does expanding US influence in Latin America conflict with the “America First” pillar of President Trump’s Make America Great Again (MAGA) platform?

Mauricio Claver-Carone: Not at all. “Americas First” is the natural extension of America First as President Trump works to counter the notion of every DC think tank expert that the 21st century would be the Chinese century. The President was adamant during his inauguration that it would instead be

another American century, and potentially the greatest American century. And contrary to what many believe, the President's Latin America strategy is not about boots on the ground or nation-building. It is about practical partnerships between nations as the US shifts from a policy of non-interventionism—which served neither the local population nor the US well by leading to the rise of Chavez and China—to non-imperial expansionism, a term coined to explain the strategy of deepening US influence in the region through partnerships.

These are not political partnerships—the US is currently working with the right-leaning governments of Argentina, El Salvador, Costa Rica, and Chile as well as the left-leaning governments of Mexico and Venezuela—but practical, business-oriented relationships that benefit not only the US but also these countries, whose populations desire security and economic opportunities. The best example of that is Argentina. Many people, including myself, worried that the Trump Administration's financial support ahead of last year's midterm elections could spark a backlash against President Milei's Conservative party given that strains of Peronism still exist in Argentina. But the election results showed that most of the party's support came from the poor, who are fed up with ideologies that neither pay the bills nor put food on the table. So, the region has undergone a dynamic social shift.

Jenny Grimberg: How does the Trump Administration's decision to depose Maduro fit into that?

Mauricio Claver-Carone: Let me first clarify that the Administration didn't "depose" Maduro. This was a law enforcement operation with military support to capture an individual indicted for narcoterrorism in the US. Now, this was a particularly complicated operation because Maduro was de facto running a nation-state with a military, which showed the world that nobody is outside of US reach and sent a message of US influence, ability, and capability. But the operation also underscored the Trump Administration's preference for partnership. President Trump gave Maduro plenty of opportunities to work together; he expressly rejected every offer, which led the Administration to execute a carefully thought-out operation to capture him. That sends an important message: when President Trump offers you a deal or an opportunity, you take it.

The Trump Administration's subsequent actions in Venezuela are also a testament to its partnership preference. The US undoubtedly had the capabilities for a broader operation, but assessed that the other people in Venezuela controlling the institutions of power would want to work with the US. And so far, that assessment has proven right. In the days following the operation, the US reached a deal to purchase 30-50 million barrels of Venezuelan oil and several million barrels moved shortly after. Venezuela is also increasingly and consistently releasing political prisoners. And the US is working with the Venezuelan authorities to put the country on a path toward becoming a more stable and secure presence in the region with an open, participative process. Much remains uncertain, but I'm optimistic.

Jenny Grimberg: The million-dollar question is what President Trump will do next in Latin America and the broader Western Hemisphere. What's your view?

Mauricio Claver-Carone: Further efforts at forming and consolidating partnerships with countries in the region are likely. Upcoming elections in Brazil and Colombia will be important. Conservative candidates recently won Honduras' and Chile's presidential elections, and if right-wing candidates also prevail in Colombia and Brazil, it would result in a historic ideological consolidation for the region. But again, this isn't about ideology but whether the new leaders will choose the US first and foremost as their partner. That would give the US a historic opportunity to modernize its business relationships and commercial partnerships across Latin America.

That could start with Mexico and the upcoming USMCA renegotiation, which seems to be the path the President is heading down. But President Trump's intense focus on trade is reactive. He feels that the trade deals of the 1990s/early 2000s were all flawed, forcing him to focus on fixing them. As those issues resolve, the focus of US partnerships with regional allies could shift to making deals that ensure a US strategic presence in critical sectors like energy and infrastructure. The hope is that by the end of President Trump's term, nobody will ever again talk about China's expanding influence in the region, because it will be unquestionably clear that the US is the partner of choice for Latin America and the Caribbean.

Jenny Grimberg: As an investor in the region, what advice do you have for investors attempting to navigate Latin America's evolving geopolitical landscape?

Mauricio Claver-Carone: Investors looking to monetize the "Donroe Doctrine trade" by focusing more on Latin America should look beyond the big-ticket deals in Mexico and Brazil, which have often been walloped by currency issues, to smaller countries. The deals are smaller, but the returns are bigger as a percentage, and these countries are among the region's fastest-growing economies, offering great opportunities for investors. The secret sauce is local partners.

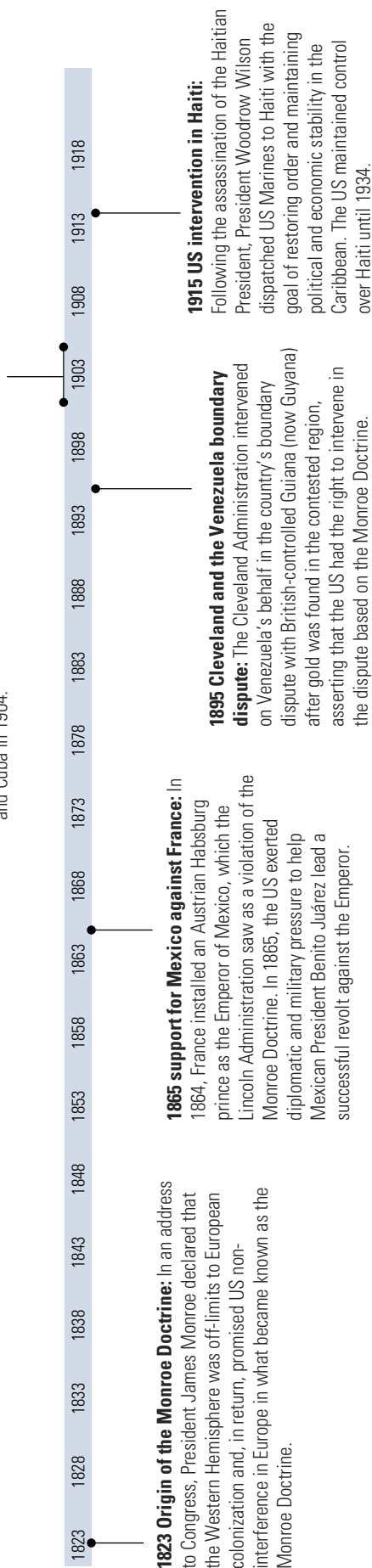
I would also advise against relying on multilateral development banks. As a former president of the Inter-American Development Bank, I've seen firsthand that these institutions aren't focused on finding or creating the best deals. Investors should instead focus on US domestic finance institutions like the International Development Finance Corporation (DFC), which partners with the private sector to mobilize capital for strategic investments around the world and recently secured a six-year reauthorization, to gain exposure to long-term deals in strategic sectors.

I also see significant short and medium-term investment opportunities in the energy and infrastructure space. The timing is right for these investments because the US government is focused on and geopolitically invested in Latin America and wants to encourage private investment in the region, and that focus isn't going away given President Trump's "Americas First" philosophy.

The Monroe Doctrine through the years

INVOKING THE MONROE DOCTRINE

The Monroe Doctrine, first articulated by President James Monroe in 1823, declared that European powers should not interfere in the affairs of the newly independent nations of the Americas, a stance motivated by concerns over potential European re-colonization. Since its inception, US presidents have frequently invoked the Doctrine to justify various foreign policy actions across the Western Hemisphere.



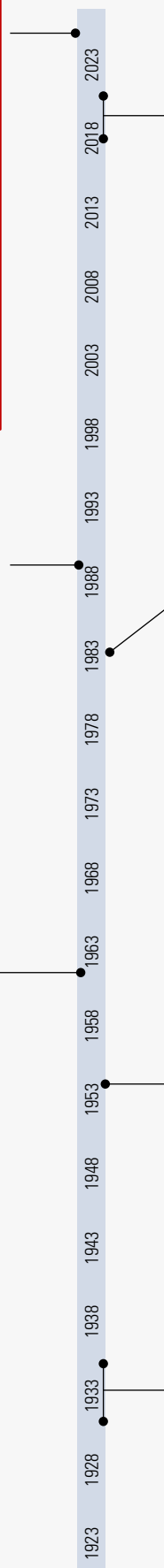
1962 JFK and the Cuban Missile Crisis: President Kennedy invoked the Monroe Doctrine during a televised address in October 1962, announcing the discovery that the Soviet Union was secretly installing offensive nuclear missile sites in Cuba. Kennedy ordered a naval blockade around the island, characterizing the Soviet action as a direct challenge to the long-standing principle of preventing hostile foreign powers from establishing military bases in the Western Hemisphere.

1989 capture of Manuel Noriega in Panama:

President George H.W. Bush deployed US troops to Panama to arrest and extradite Manuel Noriega on drug trafficking and money laundering charges. The US cited the Monroe Doctrine to justify the invasion, claiming that Noriega's regime threatened US citizens living in Panama as well as the security of the Panama Canal.

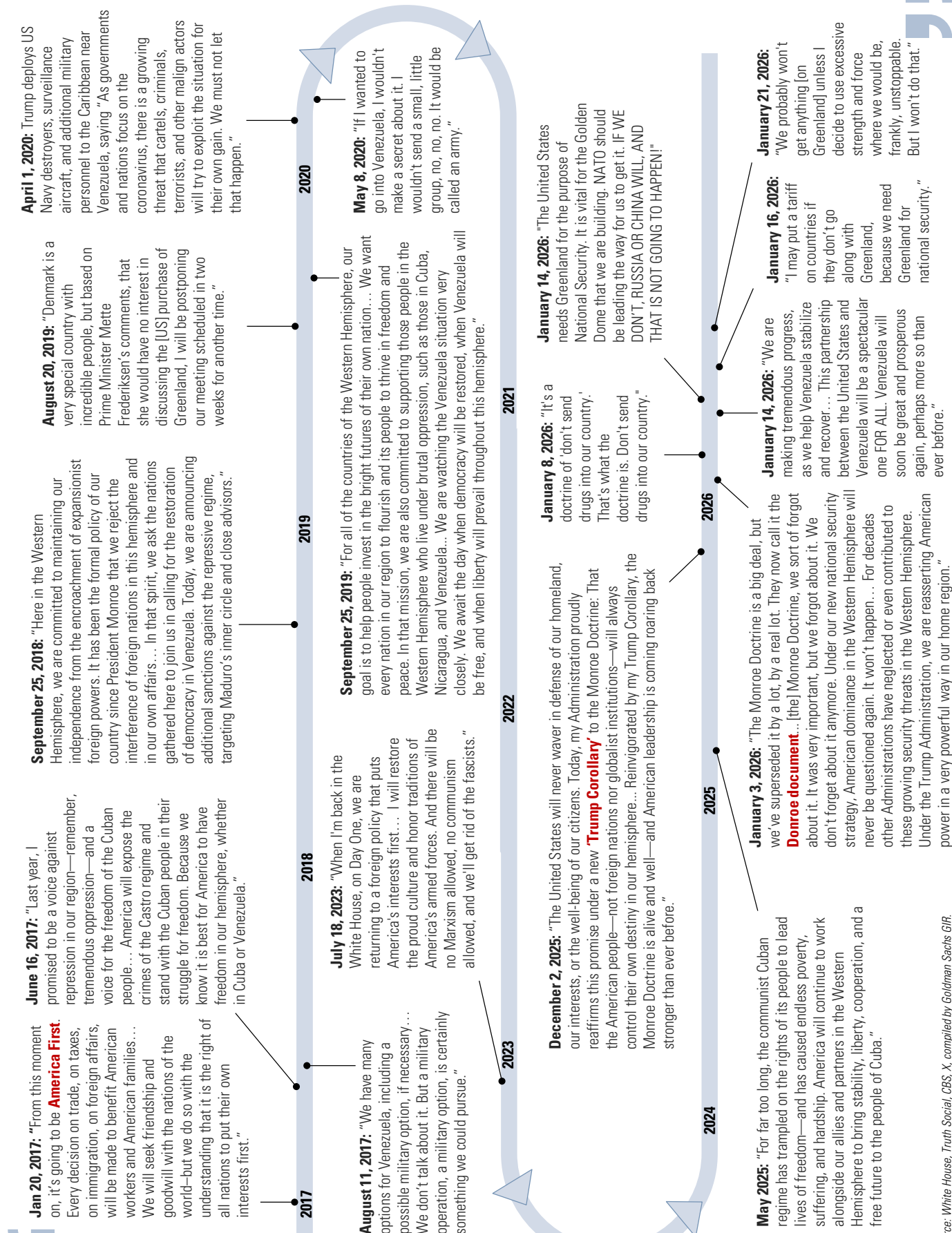
2026 Trump Corollary and the Donroe Doctrine:

President Trump laid out a Trump Corollary to the Monroe Doctrine that aims to restore US preeminence in the Western Hemisphere. Referring to it as the "Donroe Doctrine," Trump used it as justification for the arrest and extradition of Venezuelan leader Nicolás Maduro on drug trafficking charges.



*Not an exhaustive list of all policy actions related to the Monroe Doctrine.
Source: US Department of State, National Archives, Office of the Historian, compiled by Goldman Sachs GIR.*

The Donroe Doctrine, in Trump's words



Venezuela: what's next?

Alberto Ramos explores what developments in Venezuela could mean for the country's economy and the broader LatAm region

Following the US operation in Venezuela, the situation on the ground remains very fluid and the outlook complex and uncertain. The Trump Administration is now working with the remnants of the Maduro regime to stabilize the Venezuelan economy, focusing first and foremost on the battered oil sector, and eventually hold open elections.

An economic collapse of historic proportions

Venezuela has been trapped in a seemingly never-ending economic depression and hyperinflationary spiral. Large macro and financial imbalances have spawned an economic collapse of historic proportions. In fact, Venezuela has experienced one of the worst peacetime economic downfalls in modern history, with real GDP contracting far more than in the US during the Great Depression (-28%), Spain during the Spanish Civil War (-28%), and the 2009 Greece crisis (-27%). Per the IMF, in Dollar terms, Venezuelan GDP has shrunk by ~80% since 2012, with seven consecutive years of negative real GDP growth over 2014-2020 for an astonishing cumulative decline of 74.3%.

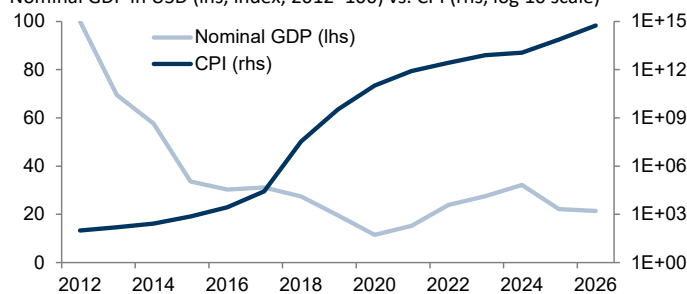
Quite telling and illustrative of the major economic collapse of the last 20 years is the dramatic shift within Venezuela's oil sector—the country's key source of foreign exchange. Oil production fell from 2.7mb/d in 2015 to 0.93mb/d in 2025, resulting in an oil-export hard-currency crunch that imposed a severe and debilitating constraint on imports. As a result, Venezuela's economy has contracted to ~\$80bn today, roughly the size of Uruguay and less than a quarter the size of Chile.

Hyperbolic inflation immiserizes

Annual inflation over the decade leading up to 2025 was an astronomical 14,544% on average—reflecting years of hyperinflation (inflation was ~130,000% in 2018). Over the same period, Venezuela's currency (the Bolivar) lost ~98% of its value. The economic hardship has helped generate a mass exodus of people over the last 16 years. According to the UNHCR, nearly 8mn people fled the country, close to a quarter of the population and one of the world's largest displacements, with most settling in nearby countries, particularly Colombia.

Venezuela has experienced hyperinflation and depression

Nominal GDP in USD (lhs, index, 2012=100) vs. CPI (rhs, log 10 scale)



Source: IMF, Goldman Sachs GIR.

Likely limited economic and financial spillovers...

It therefore comes as no surprise that the economic and financial linkages between Venezuela and the rest of LatAm have become minor. Accordingly, we do not anticipate major economic spillovers from the situation in Venezuela to the rest

of LatAm. However, if the situation on the ground were to deteriorate into widespread lawlessness and violence, we could see renewed migration flows, likely affecting neighboring countries first and foremost. Beyond migration, the situation in Venezuela could indirectly impact the region through their impact on key commodity prices, particularly oil and gold.

...and political implications

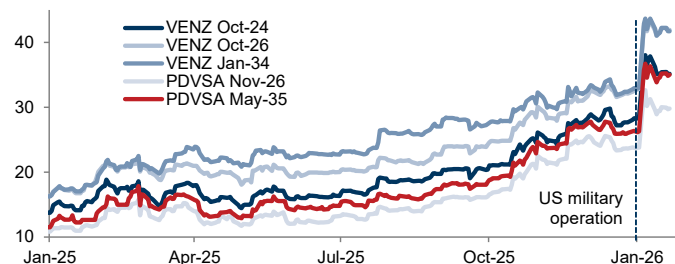
The political implications for the rest of LatAm also seem limited. The reactions of regional governments were mixed and clearly divided along political/ideological lines, but even those critical of the situation were cautious and contained in their responses. However, US actions in Venezuela could stress its relationship with Mexico, Colombia, and Brazil, especially if the US expands its focus to the regime in Cuba and/or conducts military strikes on drug cartels inside Mexico or Colombia. At this juncture, we do not expect the ongoing developments in Venezuela to impact upcoming elections in Brazil (general election in October), Colombia (congressional elections in March, presidential in May), or Peru (general elections in April).

Debt restructuring key to watch from here

Venezuela defaulted on international bonds in late 2017 due to the compounding effects of the deep economic crisis and sanctions. Defaulted debt is estimated at north of \$150bn, including around \$60bn (face value) in defaulted bonds (sovereign and state oil company PDVSA), other PDVSA obligations (e.g., suppliers' debt), bilateral loans (e.g., with China, Russia), and multilateral debt, with significant unpaid interest as well as legal claims from expropriation cases compounding the total since the 2017 default.

Venezuela bond prices rallied following the US military operation

Venezuela and PDVSA bond price, bp



Source: Bloomberg, Goldman Sachs GIR.

Venezuela bond prices rallied in 4Q25 on expectations that rising US pressure and military buildup would eventually lead to regime change. And the initial market reaction to the January 3 US airstrikes was positive. Indeed, defaulted Venezuelan bond prices rallied 8-9pts (including PDVSA) on January 5 on expectations of a brighter outlook for Venezuela's economy and oil sector as well as the potential for debt restructuring.

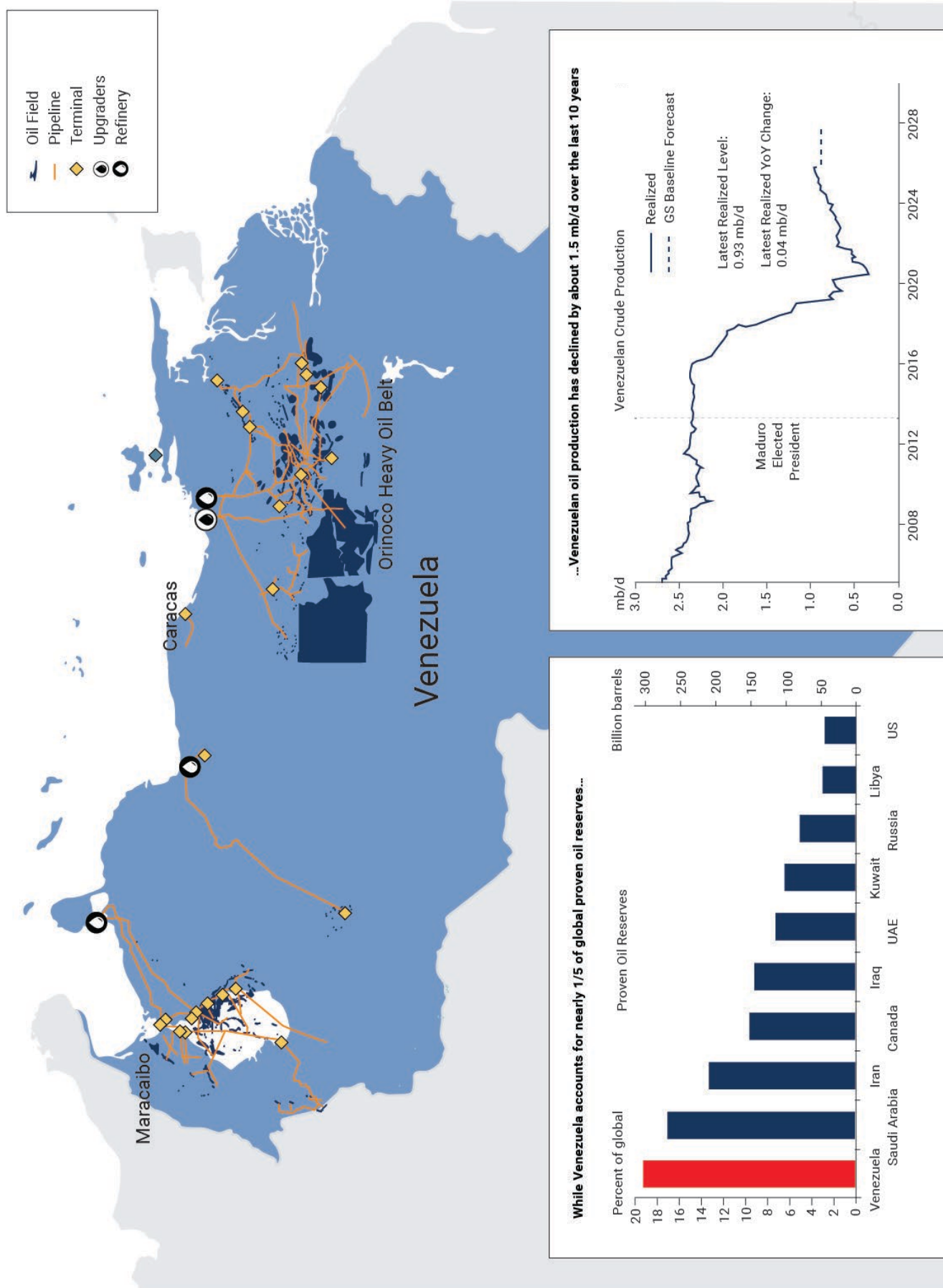
However, bond prices have since given back some of these gains due to the complex and still highly uncertain economic and political picture, the perception that debt restructuring may not be a near-term priority, President Trump's executive order protecting Venezuelan oil revenue held in US Treasury accounts, and bond valuations commensurate with lower-bound recovery levels. The market debate has now shifted to "what type of restructuring" and when and with whom creditors will eventually be negotiating.

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Venezuela oil infrastructure, mapped out



*We use OPEC data on proven crude oil reserves as of 2024 for all the countries above except Canada, where we use Energy Institute proven reserves estimates as of 2020 (latest available).
Sources: OPEC, Energy Institute, secondary sources, S&P Global Energy, Goldman Sachs GIR.
Special thanks to GS Commodities Research team for charts.

Q&A on implications for Venezuelan oil

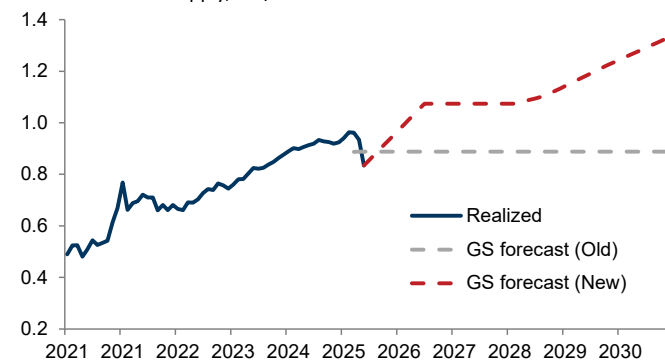
Neil Mehta and Daan Struyven answer key questions about the implications of US plans to revitalize Venezuela's oil sector¹

Q: What's the size of the opportunity for the oil industry of the US' plan to revitalize Venezuela's oil sector?

A: Venezuela accounts for roughly one-fifth of the world's proven oil reserves², yet its production is constrained at ~800-900kb/d, which is less than ~1% of global output. The Trump Administration has [called for](#) ~\$100bn of investment into the country over the next decade to rebuild infrastructure and bring production back to peak levels of ~3mb/d. We believe gains of a few hundred thousand barrels per day are achievable in the near term. Specifically, we expect Venezuelan crude production to rise by 0.2mb/d over the next 12m (from 0.8-0.9mb/d in Dec 2025) as an anticipated easing of sanctions and modest investment in existing assets help ease some operational bottlenecks. We expect production to rise by an additional 0.2mb/d by 2030 (to 1.3mb/d). But a complete restoration of the country's output to ~3mb/d would likely extend into the next decade and require significant capital investment. Some estimates suggest an initial ~\$5-10bn of capital investment over the next 2-3 years could yield an additional ~500kb/d in Venezuela, but the subsequent ~1mb/d would require an estimated ~\$70-80bn. Upstream production expansions would also require a reactivation of damaged upgraders that process heavy crude, extension of pipeline infrastructure, investments in the power grid, and continued political stability.

We expect a modest increase in Venezuelan crude supply

Venezuelan crude supply, mb/d



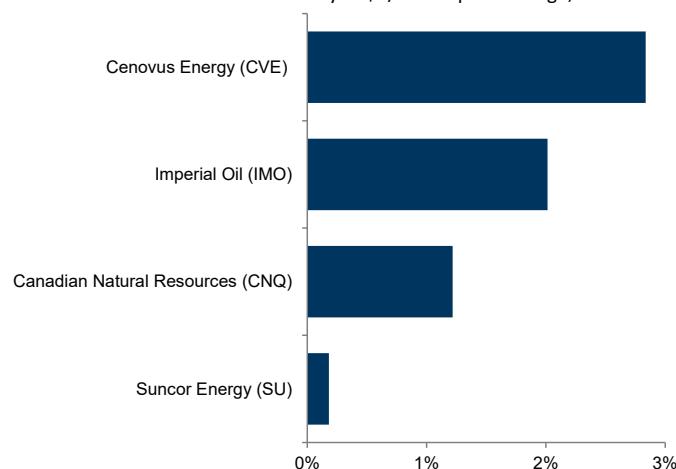
Source: Secondary sources, Goldman Sachs GIR.

Q: What types of companies could be harmed by the revitalization of the Venezuelan oil industry?

A: On a relative basis, Canadian oil companies could be negatively impacted by higher oil production from Venezuela. In particular, Venezuelan barrels could displace Canadian heavy crude on the Gulf Coast and result in wider WTI-WCS differentials, which would reduce realized prices for Canadian producers.

Venezuelan barrels could displace Canadian heavy crude on the Gulf Coast and result in wider WTI-WCS differentials

Estimated annual cash flow sensitivity to \$1/b WCS price change, %



Source: Goldman Sachs GIR.

Q: How have US oil companies responded to these potential opportunities/risks so far?

A: Among the US Majors, Chevron is doubling its liftings from the country immediately and raising its production by 50% (or ~100kb/d) over the next 18-24 months. By contrast, ConocoPhillips and Exxon remain focused on recovering previous debt following the nationalization of their assets. Exxon has also publicly discussed its view that Venezuela is difficult to invest in without significant changes to the legal and commercial environment. Among oilfield services companies, SLB has discussed its ability to scale quickly as needed in the country, as it currently has operations on the ground. Halliburton and Weatherford have also commented on their ability and interest in allocating resources to Venezuela if activity and production ramp up.

Q: How much of the upside/downside of these developments is already priced into stocks?

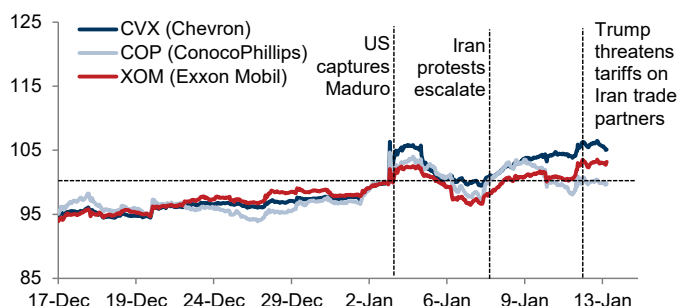
A: Energy equities reacted sharply on the back of the initial Venezuela headlines, including the stocks of US majors, US refiners, international service companies, and Canadian oil producers. While we believe the latest developments are now largely reflected in the equities, we continue to highlight strong fundamentals across the energy complex.

¹ The research views in this section are those of the analysts who cover the relevant areas. Equity research views are expressed by Neil Mehta, an Equity Research Analyst covering Americas Integrated Oil & Refiners. Commodities views are expressed by Daan Struyven, a Macro Research Analyst covering global commodities.

² According to OPEC data.

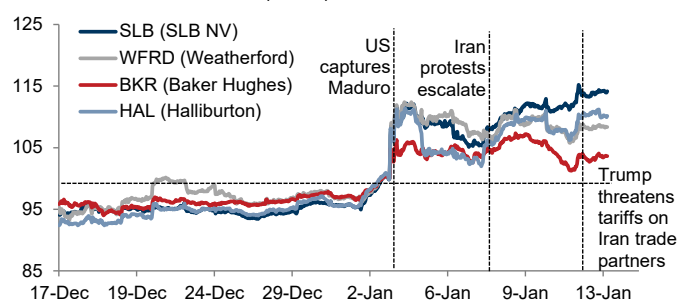
Energy equities reacted sharply on the back of the initial Venezuela headlines, including across US Majors...

Stocks of US Majors, index, Jan 2 close=100



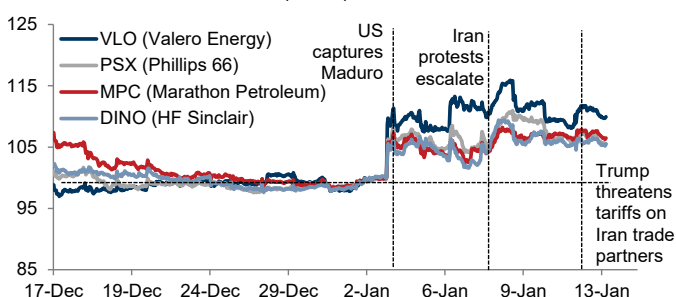
...international services...

Stocks of international services, index, Jan 2 close=100



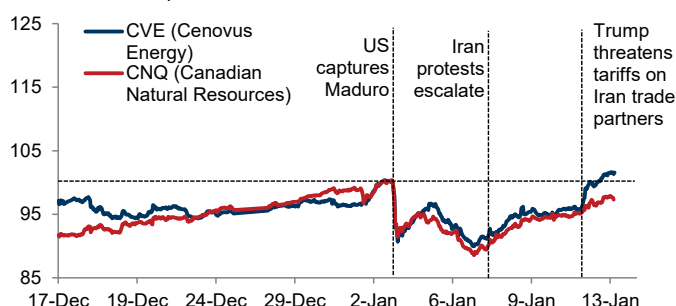
...US Gulf Coast refineries...

Stocks of US Gulf Coast refineries, index, Jan 2 close=100



...and Canadian producers

Stocks of Canadian producers, index, Jan 2 close=100



Source: Bloomberg, Goldman Sachs GIR.

Q: What, if anything, are investors underappreciating about the potential impacts of the Venezuela developments for US oil companies?

A: Given the state of Venezuela's energy infrastructure—which has deteriorated amid underinvestment—investors may be underestimating the challenges associated with sustainably ramping Venezuelan volumes. We also believe the scale of investment required to increase their Venezuelan presence as well as the political and legal risks of doing so could deter companies from making significant new capital commitments in the country, which is a major reason we expect an only modest increase in Venezuela's production by 2030.

Q: What are you watching most closely ahead to gauge how this could all play out for the US oil industry?

A: Despite the recent developments in Venezuela, the outlook for the US oil industry should remain largely unchanged from our base case scenario, with three primary forces continuing to drive the industry's trajectory. First, after rising from 5-6mb/d in early 2000s to 14mb/d of crude today, the industry is now entering a period of slowing growth and maturity. Accordingly, US producers will likely focus on harvesting cash flow domestically, investing in international exploration, and driving consolidation through M&A.

Second, the larger companies have structural advantages of scale and the ability to execute an international development plan. That leaves the US majors, as well as international services companies, well-positioned for growth. Third, we believe that refiners are structurally well-positioned on a multi-year basis as crack spreads are likely to remain above historical averages and global oil demand is expected to outpace new capacity additions between now and 2030.

Q: What could the Venezuela developments mean for oil prices?

A: We estimate that the 0.2mb/d increase in Venezuelan oil production we expect over the next 12m will have a \$1 impact on Brent/WTI prices this year (baseline forecast of \$56/\$52/bbl average 2026 prices vs. \$57/\$53/bbl in a scenario of flat production). But the impact on long-run oil prices will likely be more significant. We estimate that the cumulative 0.4mb/d increase in Venezuelan production we expect by 2030 will have a \$2 impact on long-term oil prices. This, together with higher expected US and Russian production, led us to lower our long-run Brent/WTI price forecasts to \$75/\$71/bbl earlier this month (2030-35, from \$80/\$76/bbl). We estimate that a larger recovery in Venezuelan production to 2mb/d by 2030 would pose \$3 of downside to these revised forecasts.

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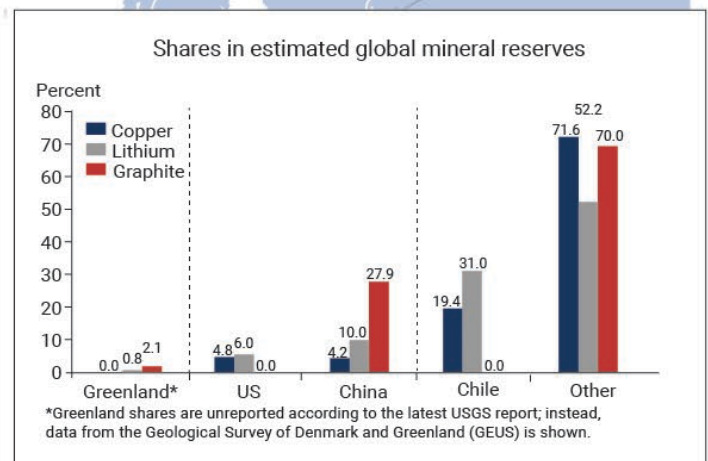
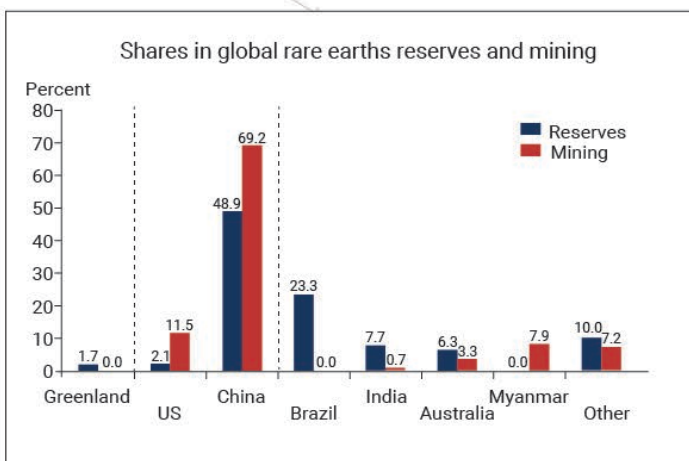
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Goldman Sachs & Co. LLC

Greenland's strategic value, mapped out



Source: Bloomberg, USGS, GEUS, Goldman Sachs GIR.
Special thanks to GS Commodities Research team for charts.

Interview with Ivan Krastev

Ivan Krastev is Chair of the Centre for Liberal Strategies in Sofia, Bulgaria. Below, he argues that US-Europe relations have reached a turning point, but not a breaking point.

The views stated herein are those of the interviewee and do not necessarily reflect those of Goldman Sachs.



Allison Nathan: Do the Greenland developments mark a turning point in US-Europe relations?

Ivan Krastev: They mark a turning point but not a breaking point because alliances don't exist on paper, but in the minds of the public and policymakers. And the Greenland story, combined with the Trump

Administration's recently-released national security strategy and Venezuela actions, have substantially shifted how Europe views transatlantic relations. I was part of a recent European Council on Foreign Relations group that conducted global polling revealing that only 16% of Europeans see the US as an ally, while 20% view it as a rival, with most others seeing it as only a necessary partner. This marks a big shift from the past.

The Greenland issue has been especially difficult for Europeans to digest because the Danes are ready to cooperate with the US on almost anything it wanted from a security and even economic perspective. And the Danish government is one of the most pro-Atlantic governments in the European Union. So, Europeans are shockingly no longer sure about three things: one, the extent to which the Trump Administration believes that its relationships with Russia and Europe would be more difficult in NATO's absence; two, that one of the objectives of US trade policies is not the European Union's destruction; and, three, that the EU would be able to count on the US in times of major crisis, which was a key part of the magic of NATO.

Allison Nathan: So, why isn't this a breaking point?

Ivan Krastev: First of all, it's one thing to understand that your marriage is not working in the same way as before, but it's completely different to imagine what divorced life would look like. Europe is too dependent on the US not only for its security, but also technologically and economically, to prefer the divorced life today. And the stakes are too high to find out what such a life would look like, with the very survival of the European project on the line. Remember that the European Union was largely an American project. In the moment of crisis, Americans played a critical role in securing European unity.

Second, some Europeans believe that Trump's actions don't reflect the consensus among American society or the elite, and point to the walking back of the potential use of military force in Greenland as evidence of the constraints Trump faces. So, Europeans believe that when they stand against Trump on this issue, they are not standing against America. Third, while Trump has strong allies within some European countries on issues like immigration, they have not sided with him on Greenland because no European leader can convince their voters that the US getting its way in Greenland is in Europe's best interest. It's noteworthy that the European Parliament stalled ratification of the US-EU trade deal, and all MPs, from the mainstream parties to the nationalistic right, applauded the decision to stand behind Denmark and Greenland.

Now, this is largely about territory for both sides. But while Trump views land from the lens of a real estate manager, European countries, especially small ones, view land as a critically important part of their national sovereignty, and the idea that small countries don't matter is not good news for anyone in Europe. So, European leaders agree that caving on Greenland would be disastrous for Europe and its credibility. In that light, this issue has strengthened European unity. And Europe's weakness paradoxically means that it cannot *not* retaliate when it comes to this red line, because its weakness would be exposed. My sense is that Trump initially miscalculated on this point but now seems to understand it.

Allison Nathan: How could US-Europe relations evolve?

Ivan Krastev: The relationship looks to be headed for a rocky period, but not a divorce. For Europe, while there is much talk about finding new allies, aligning with others won't be a quick or easy process. The European Parliament essentially blocking the EU-Mercosur trade deal shows that too many competing interests exist among EU countries. And I'm skeptical that Europe and China will suddenly have a smoother relationship just because the US-Europe marriage has hit hard times. Instead, Europe will be focused on showing the US that Europe matters, not only because it can be helpful to the US, but also because it can be harmful. One action Europe can take to show that it is strong and serious about consolidating its economic power is making major progress on capital market integration.

Europe will also look inward in terms of focusing on building up its defenses, but here too it will encounter difficulties. Europe is struggling against time, and the blame doesn't lie with Trump. 15 years ago, then US Secretary of Defense Robert Gates warned Europe that the US would not pay for Europe's defense if it wasn't willing to increase its defense budgets, which Europeans chose to ignore, and now time is not on its side. But Europe's biggest problem is that budgets don't fight wars—people do. And Europe culturally is not prepared for the more hostile world it now finds itself in. That said, some European countries are taking their defense more seriously, and I expect closer cooperation among those countries, especially those closest to the Ukrainian crisis, as well as Germany and France in its capacity as the only European nuclear power. The Greenland issue has also brought the UK closer to the EU on defense, which will be critically important in bolstering European defense capabilities.

For the US, midterm elections loom large, which I suspect will continue to serve as a constraint on the Administration's actions. So, both the US and Europe will likely look for ways to de-escalate tensions and compromise, as has already begun. But the trust between the US and Europe has been broken, not just because of Greenland but also because of Ukraine in terms of US policy related to the conflict, and the broader US treatment of Europe. So, I don't expect the relationship to go back to the way it was even if, as we've discussed, the current moment doesn't prove to be a breaking point.

When geopolitics meets portfolios

Christian Mueller-Glissmann discusses how to navigate and hedge against geopolitical risk

Geopolitical risk has returned to the forefront following the recent developments around Venezuela, Iran, and Greenland, and is likely to remain there for some time as the US continues to reshape its geopolitical and economic relationships with the world. This has raised questions about how investors can protect themselves from geopolitical shocks, which can have material impacts on global growth, inflation, and sentiment, especially as the linkages between economies and markets have become increasingly complex. Rather than try to time geopolitical shocks, which can be difficult, we think robust portfolio construction and diversification should be investors' first line of defense.

Geopolitical shocks: rhyming, but seldom repeating

While geopolitical shocks are a key risk for portfolios, they tend to differ every time and are particularly difficult to position for as the timing and potential economic and market impacts are hard to anticipate. Geopolitical tensions can also linger for a long time before they escalate. To further complicate matters, geopolitical shocks often start out as local shocks but can extend globally and have lasting knock-on effects.

The broader macro backdrop also affects how markets react to geopolitical shocks. We find an imperfect relationship between the news-based Geopolitical Risk Index and equity volatility, with an increase in geopolitical tensions often leading to higher—but not extreme—volatility. Geopolitical risks alone have seldom pushed the VIX above 40. But the combination of such risks and an already-weak macro backdrop has often sent volatility sharply higher. A more resilient US economy and a Fed able to buffer negative growth shocks may help markets digest geopolitical shocks better today, though low volatility, elevated equity valuations, and bullish investor sentiment to start the year increase the risk of a volatility spike.

The individual asset impacts of geopolitical shocks can also vary. Historically, large geopolitical shocks like the Middle East wars have driven oil prices sharply higher, often resulting in a worsening global growth/inflation mix. By contrast, oil prices have remained in a downtrend amid the recent geopolitical developments due to excess supply, with the Dollar also weakening as investors have become more concerned about US assets.

Finally, the inherent unpredictability of geopolitical events, including the possibility of a reversal of the shock, creates material market timing risk. Equities on average have recovered and risen after geopolitical shocks. In some cases, uncertainty can decline rapidly as more information becomes available or a policy pivot occurs, which can drive sharp equity recoveries, as happened around "Liberation Day" last April, which showcased the difficulty of timing equity moves.

Protecting portfolios: diversify, don't time

Given these challenges, investors' first line of defense against geopolitical shocks should be robust portfolio construction and diversification. In a balanced multi-asset portfolio, bonds can provide a buffer for risky assets against unanticipated growth

shocks. However, bonds become a less effective hedge if the geopolitical shock increases inflation risk. US policy uncertainty and global fiscal risks have also weighed on bonds, with recent concerns about potential fiscal expansion in Japan increasing the upward pressure on long-dated bond yields globally. Long-dated bonds may provide a smaller buffer for risky assets going forward if fiscal risks persist.

Investors can also turn to other global safe haven assets like the Swiss Franc, which has become a more effective "risk-off" hedge vs. the Euro in periods of rising geopolitical risk. But it's important to keep in mind that while safe haven assets tend to outperform during risk-off episodes, they usually have lower returns through the cycle. So, as with bonds, investors need to consider the tradeoffs between risk reduction and returns.

Increased allocations to assets that could benefit from an escalating shock can also buffer geopolitical risk. Commodities like oil and gold have often been useful diversifiers in periods of geopolitical uncertainty, though their hedge value can vary depending on the drivers (if there are oil supply disruptions, for example) and again they tend to have relatively low risk-adjusted returns over longer horizons. That said, gold and precious metals more broadly have recently helped buffer both geopolitical and fiscal risks, with higher central bank demand further boosting their risk-adjusted returns. Defense stocks are another potential beneficiary of geopolitical shocks (see pg. 20).

Investors can also manage geopolitical risk by avoiding or reducing direct and indirect exposures. This could include avoiding the country/region facing elevated geopolitical risk or large energy consumers (in the event of sharply higher oil prices) as well as reducing indirect exposure from trade linkages. With global investor portfolios currently dominated by US assets due to their large weights in equity and bond benchmarks, investors could also increase home bias in portfolios to reduce FX risk, though the potential impacts of large shifts out of US assets on portfolio returns and risk should be carefully considered.

Finally, the fact that geopolitical shocks can reverse quickly suggests that options can be a valuable hedge. Hedging tail risk with options can undoubtedly be expensive, making prolonged exposure to risk management strategies that protect portfolios systematically unfeasible. That said, realized and implied volatility has been very low coming into the year, increasing the value of tactical portfolio overlay hedges.

So, for investors looking for ways to protect their portfolios from geopolitical shocks, the message is: diversify, don't time. Specifically, we recommend more regional, sector, and style diversification relative to global benchmarks and like safe assets such as gold and selectively hedging Dollar risk. With the volatility reset, we also like shorter-dated rates receivers as a hedge for major growth shocks, credit payer spreads/VIX call spreads to hedge corrections, and longer-dated calls to maintain overweight equity allocations despite the potential for more geopolitical shocks.

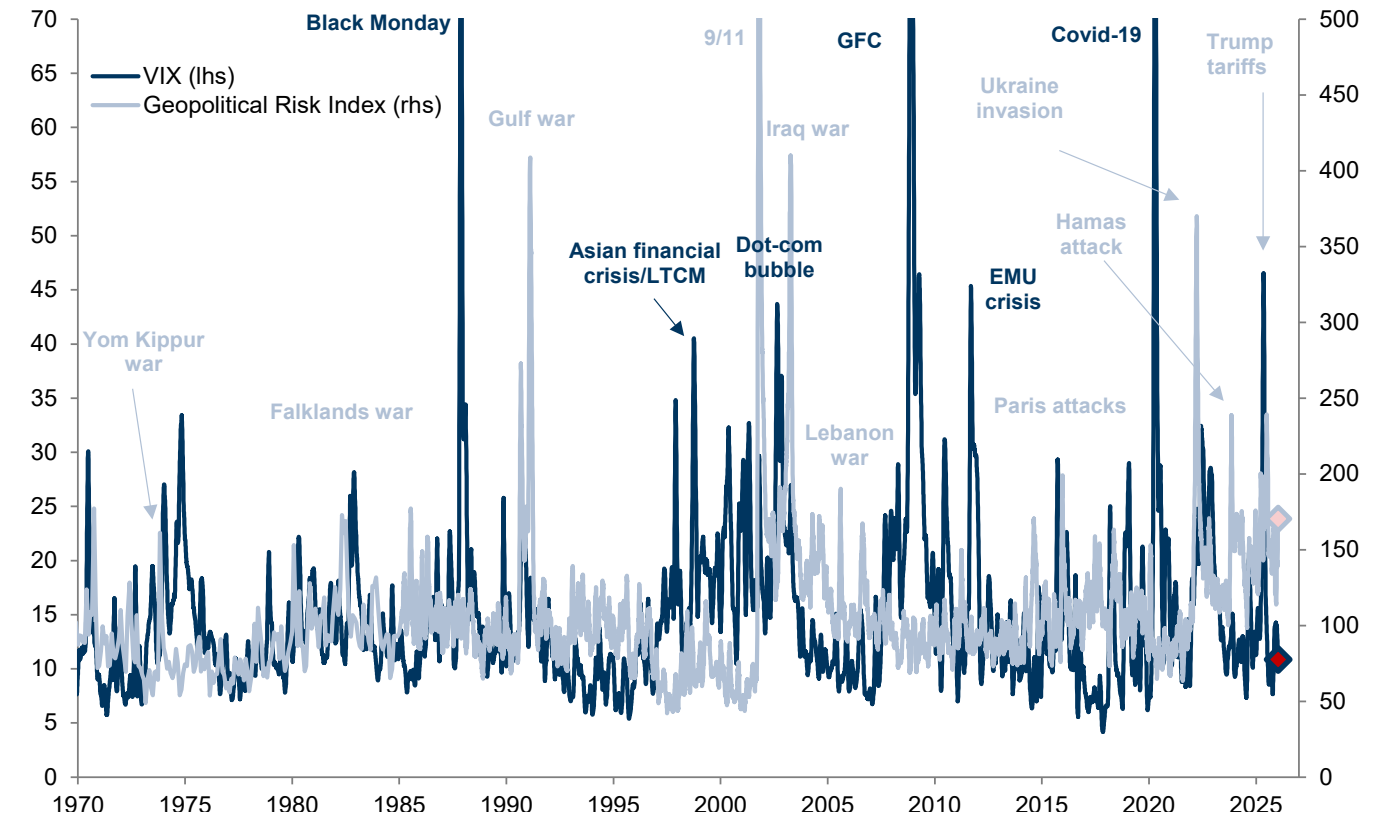
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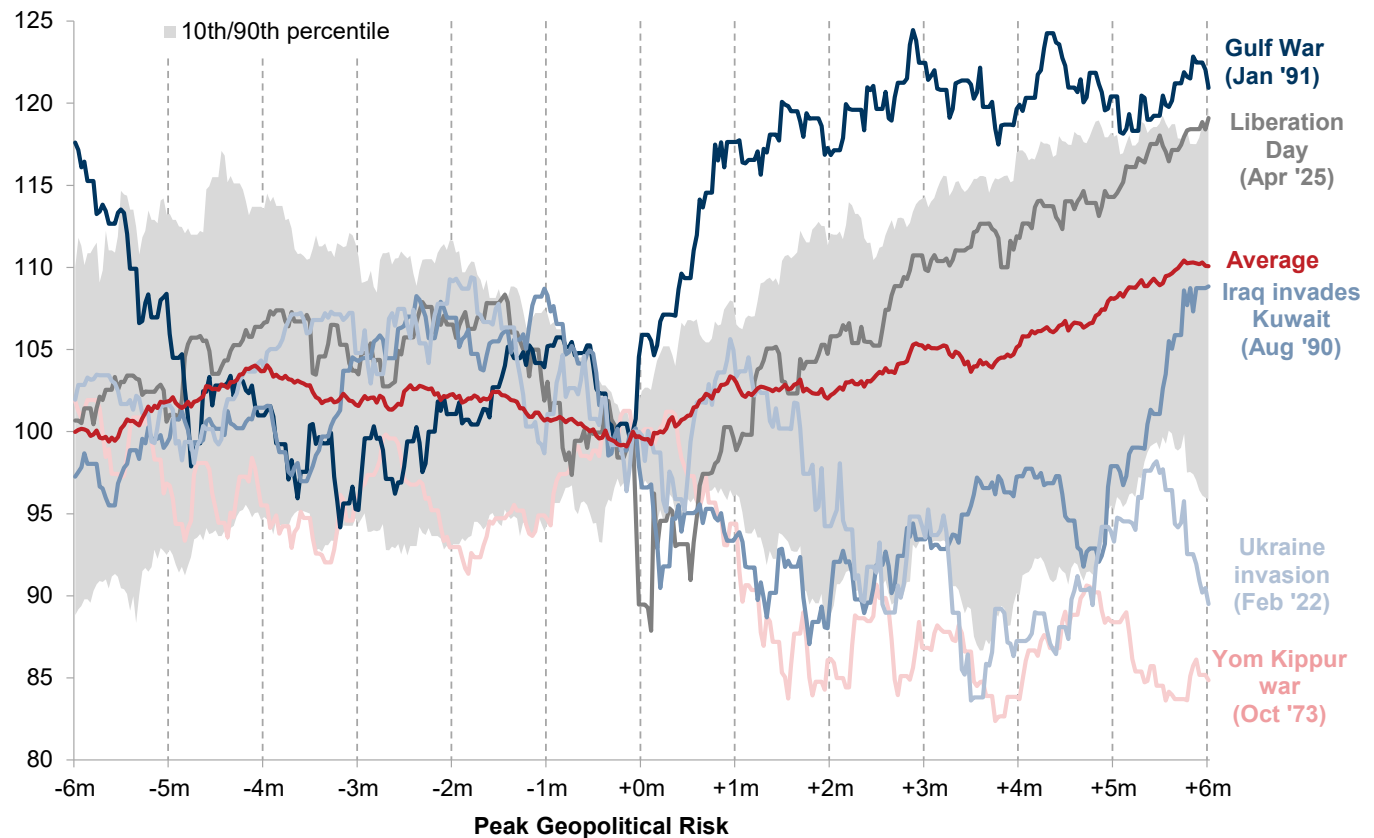
The relationship between geopolitical risk and equity volatility is mixed

VIX Index (lhs) vs. Geopolitical Risk Index (rhs), 1-month average



Timing equities around geopolitical shocks has been very difficult

Equity response to geopolitical shocks since 1970 (15 geopolitical shocks included)



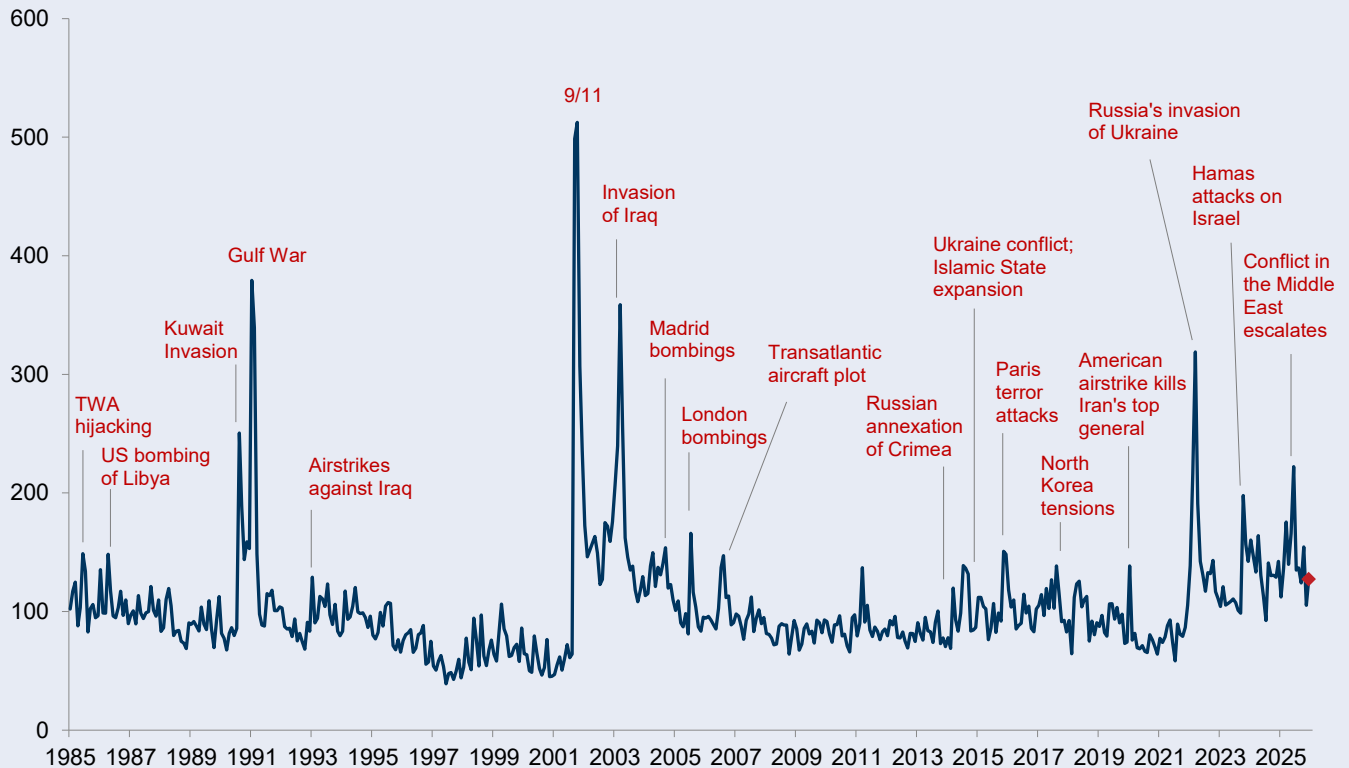
Source: Datastream, Bloomberg, Dario Caldara and Matteo Iacoviello, Goldman Sachs GIR.

Geopolitical risk through the years

Geopolitical tensions, which take many different forms, are difficult to measure. One proxy for assessing the geopolitical environment is the news-based Geopolitical Risk Index developed by economists from the Federal Reserve Board.

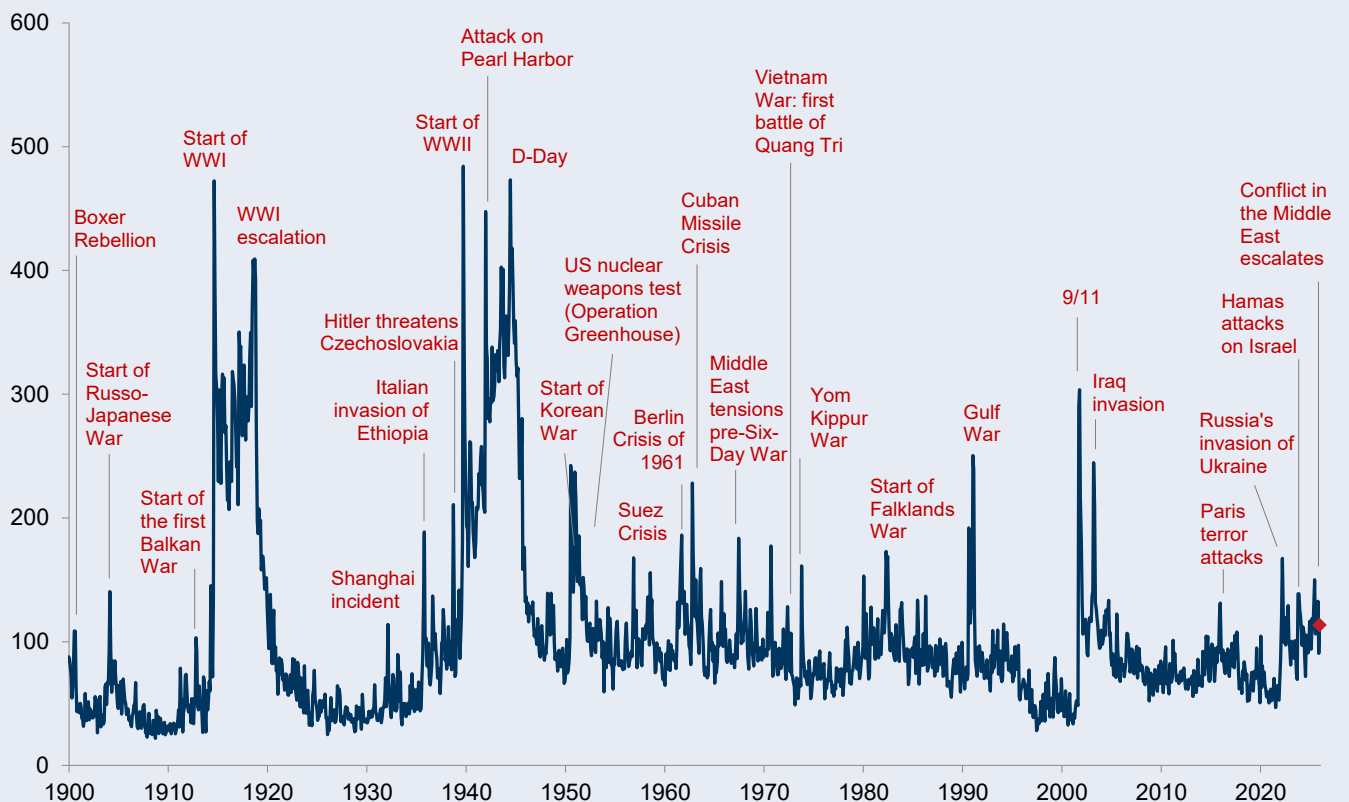
1985-Present

Geopolitical Risk Index, 1900-2019=100



1900-Present

Geopolitical Risk Index, 1985-2019=100



Note: The index from 1985 on counts the number of articles in 11 US, UK, and Canadian newspapers mentioning phrases related to geopolitical tensions. The index from 1900 on performs the same analysis using the archives of three newspapers: the New York Times, the Wall Street Journal, and the Financial Times. The choice of newspapers for both indices implies a measure of geopolitical risk as covered by the Anglo-Saxon press. See [here](#) for more information.

Source: [Dario Caldara and Matteo Iacoviello](#), Federal Reserve Board, Goldman Sachs GIR.

EM assets: continued resilience

Kamakshya Trivedi discusses the outlook for EM assets amid elevated geopolitical risk

Geopolitical risks have dominated headlines in 2026, from developments in Venezuela and Iran to Greenland. Despite that, EM equities have started the year strong and have comfortably outpaced DM equity markets, EM currencies are among the top performers year-to-date, and EM rates and spreads have held on. We think this is indicative of the resilient upside that we expect out of EM this year. Indeed, despite heightened geopolitical risks and several upcoming elections, our global macro outlook of sturdy growth, low inflation, and further Fed cuts is a friendly one for EM assets, even if less intensely so than in 2025. Better local EM fundamentals and still-low global investor allocations should also support returns in 2026.

Limited spillovers from Venezuela

Venezuelan developments—while highly pertinent from a geopolitical standpoint—have had limited spillovers in part because of limited exposure in EM investor portfolios. Political shifts can create significant volatility in local markets—as seen in Argentina last year and the political ructions in Türkiye before that—but their relatively small share of aggregate EM portfolios typically limits any impact. Equally, the improvement in EM fundamentals in recent years—solid growth, further inflation normalization, and scope for rate cuts as well as contained fiscal and current account positions—has helped insulate the broader EM complex from political and geopolitical shocks.

A positive returns story for EM assets

We continue to expect positive returns for EM assets this year amid a friendly global macro backdrop. In particular, we expect EM equities to outperform DM equities again, though we look for more moderate returns of ~15% (vs. last year's record 30% gains) driven primarily by solid earnings growth (19%/12% in 2026/2027) spread across the EM geographies. In EM FX, after the year of carry in 2025, we think that cyclical exposure—via both equity and commodity price linkages—will be as important as carry levels in 2026 for relative spot returns. This includes ZAR, CLP, and KRW, which have high betas to cyclical pricing and to the appreciation we expect in the CNY anchor and remain among the more undervalued currencies vs. USD. In EM fixed income, the scope for deeper cutting cycles in EM high-yielders (like Hungary and Brazil) should provide the best opportunities in local rates. We remain defensive on EM sovereign credit, with total returns likely to be largely a function of yield given our expectation of a modest widening in very tight spreads.

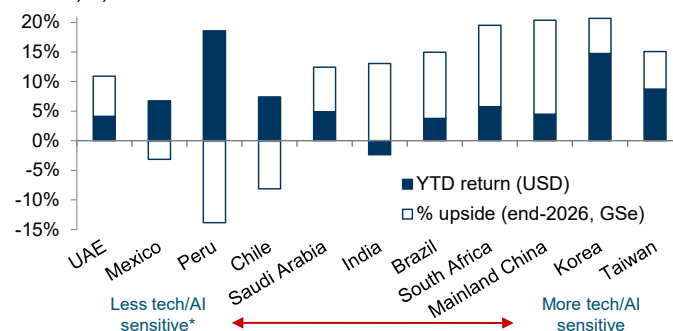
EM assets as diversifiers

EM assets can also provide an attractive opportunity for investors given their role as diversifiers. In particular, EM assets can help balance AI exposure amid growing investor concerns about valuations. For example, within EM, while we continue to favor the tech-sensitive equity markets of Korea, Taiwan (strong semiconductor earnings), and Mainland China (AI-driven growth and external market share gains), we prefer rotating some portfolio weight into the more domestic-oriented equity markets of South Africa (where a cyclical growth recovery and easing rates should help laggard domestic sectors catch up to the miners), India (with its mass-consumption revival), and

Brazil (where rate cuts should drive further gains).

EM has seen a broad-based rally this year

Returns, %, USD



*MSCI weight in tech/hardware, semis, internet, software, media/entertainment. Source: FactSet, Goldman Sachs GIR.

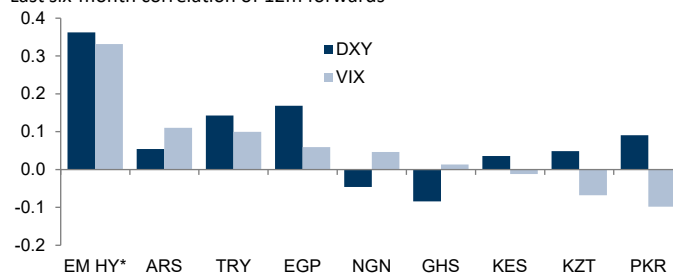
Uncorrelated risks and returns on the EM Frontier

Frontier markets also provide a source of returns that are relatively uncorrelated to the broader macro backdrop (although they come with their own risks, as Venezuela shows). Amid renewed geopolitical risks and the potential for higher volatility this year, we think that Frontier currencies continue to represent an attractive investment proposition in a more range-bound Dollar environment owing to elevated carry levels together with low correlation to Dollar strength and global macro volatility relative to other EM counterparts.

In particular, given still-healthy GSDEER model valuations and our economists' constructive external outlook, we favor carry longs in CEEMEA, including EGP, NGN, and KES, where risks are skewed toward appreciation given historically high FX reserves. Specifically, a still-cautious central bank in Egypt, which could keep real rates elevated for longer than we previously expected, led us to recently extend the target on our short USD/EGP trade recommendation (opened last July). And in Türkiye, we expect TRY monthly total returns to remain around 1-1.5% as a slight reduction in carry is offset by a decline in the pace of nominal depreciation amid slowing year-on-year inflation. The main risk to this constructive view is elevated positioning in still-relatively illiquid FX markets that could reverse sharply on a negative shock. Finally, we expect ARS to weaken along wider FX flotation bands given Argentine policymakers' objective to rapidly accumulate international reserves this year from critically low levels.

Frontier currencies are less correlated with USD and global vol

Last six-month correlation of 12m forwards



Note: We take log changes of all series before computing correlations.

*Median of BRL, COP, MXN, and ZAR.

Source: Goldman Sachs GIR.

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Q&A on defense sector geopolitical risk

We ask our equity analysts about the potential implications of elevated geopolitical risk for the defense sector.

US Defense

Noah Poponak, GS Equity Research

Q: Is the upside for defense stocks on the back of elevated geopolitical risk already fully priced in?

A: A lot of upside is priced in some stocks, but it is not fully priced across the sector. The US Defense sector has outperformed year-to-date on the back of geopolitical developments and statements from the White House regarding potentially much higher defense budgets. The Administration currently appears to want to further grow the US defense budget, but efforts are also underway to shift more financial and technology development risk onto the industrial base, creating a somewhat mixed picture for defense firms' financials. Product category prioritizations are also driving different growth profiles across verticals and individual companies in the sector. And with the US defense budget already at an all-time high and questions remaining about the appropriate level of US government spending, the annual level of defense spending will continue to be debated notwithstanding the clear focus on national security. Valuations at the sector level are on average above their historical midpoint but below their highs, with enough dispersion at the company level to still find value.

Q: Where does value remain in the sector?

A: We see value in stocks leveraged to product and vertical prioritizations that have growth and margin upside potential (rather than facing more financial risk as the Administration and Pentagon seek to shift more of the investment burden onto firms) and trade at relatively attractive valuations. We also see value in select Defense Tech companies.

Q: What key catalysts are you watching to realize the upside?

A: The White House recently discussed the possibility of a much higher US defense budget. The government typically makes its official budget request for the next fiscal year in the spring, which then goes through the congressional armed services committees through the summer, and should be finalized by the fall. Where that budget ultimately lands will go a long way toward informing future growth. We're also watching the moving pieces under the hood to continue to understand the verticals and products in higher demand. New Administration frameworks have been incrementally informing major changes in the Pentagon's defense procurement process, capital requirements, and risk sharing processes. And Defense budgets have been rising in other places, especially Europe, which will impact defense companies in those regions as well as US companies given that other countries procure military technologies from the US.

European Defense

Sam Burgess, GS Equity Research

Q: Is the upside for defense stocks on the back of elevated geopolitical risk already fully priced in?

A: No. While geopolitical tensions, alongside an increasingly fractious NATO alliance, have driven a sharp re-rating in European defense equities—with the GS EU Defense basket (GSSBDEFE) up over 20% year-to-date—we still see value in the sector. On growth-adjusted metrics, European defense valuations remain materially cheaper than US peers, with the discount currently at one of the highest points over the past three years. As a result, we would push back on the idea of a European defense bubble—the sector has clearly re-rated, but valuations are not uniformly stretched.

Q: What key catalysts are you watching to realize the upside?

A: As global geopolitical developments continue to emerge, we are watching for catalysts that reinforce defense spending as a necessary "insurance" outlay rather than a discretionary budget item for European policymakers. We are also keeping an eye on European defense budgets as well as disbursements from the ~€150bn European Security Action for Europe (SAFE) fund, a financial instrument providing loans to EU member states for defense procurement, which should drive meaningful orders for European primes. And we will be monitoring European primes' ability to expand capacity and meet demand in the new environment of increased military spending.

Summary of our key forecasts

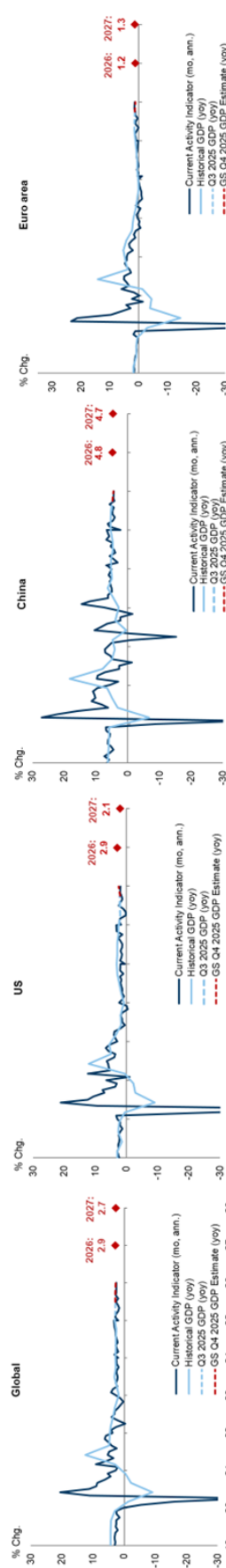
GS GIR: Macro at a glance

Watching

- **Globally**, we expect sturdy and above-consensus real GDP growth of 2.9% yoy in 2026 amid fading headwinds from US tariffs and rising real income growth. We expect global core inflation to decline to 2.1% by the end of 2026 as the tariff-driven boost fades and shelter and wage inflation fall further.
- **In the US**, we expect real GDP growth to rise to an above-consensus 2.5% on a Q4/Q4 basis in 2026 as tax cuts provide a tailwind to disposable incomes and financial conditions ease, but uncertainty around trade policy presents a potential risk. We expect core PCE inflation to decline to 2.1% yoy by the end of 2026 as tariff pass-through fades while underlying wage and shelter inflation trends improve. We expect the unemployment rate to end 2026 at 4.5%.
- **We expect the Fed** to deliver two 25bp cuts this year in June and September for a terminal rate range of 3-3.25%.
- **In the Euro area**, we expect real GDP growth of 1.2% yoy in 2026 reflecting real income gains and a fading fiscal policy drag but growing headwinds from more intense export competition with China. We expect core inflation to decline to 1.8% by end-2026 amid lower energy prices, a stronger Euro, and the potential for a negative inflation effect from Chinese trade rerouting.
- **We expect the ECB** to remain on hold for the foreseeable future given our and the ECB's forecast of better growth ahead and target-consistent inflation over the medium term.
- **In China**, we expect above-consensus real GDP growth of 4.8% yoy in 2026 given resilient export growth, continued government policy easing, and a decreasing drag from the ongoing property market downturn, although sluggish domestic demand should remain a headwind. On the inflation front, China's reflation process will likely remain gradual, but CPI/PPI inflation should rise to 0.6%/-0.7% yoy this year owing to government policy efforts and a low base.
- **WATCH US POLICY, GEOPOLITICAL DEVELOPMENTS, AND FISCAL DYNAMICS.** Uncertainty about US policy remains elevated, especially around Greenland, tariffs, and a possible US government shutdown. Geopolitical developments more broadly pose risks worth watching, especially as the situation in Venezuela develops, tension in the Middle East continues, a potential Russia-Ukraine peace deal remains uncertain, and US-China relations remain fragile. And fiscal pressures—including in the US, UK, France, and Japan—remain important to watch.

Goldman Sachs Global Investment Research.

Growth



Source: Haver Analytics, Goldman Sachs Global Investment Research.
Note: GS CAI is a measure of current growth. For more information on the methodology of the CAI please see "Technical Updates to Our Global CAIs," Global Economics Comment, Sep. 01, 2025.

Forecasts

Economics	Markets										Equities					
	GDP growth (%)		Interest rates 10Yr (%)		FX		Commodities		Credit		E2026		E2027		Returns (%)	
Policy rates (%)	2026		2027		Last		Last		Last		Last		Last		Last	
	GS	Cons. (Q4/Q4)	GS	Cons. (CY)	GS	Cons. (CY)	GS	Cons. (CY)	GS	Cons. (CY)	GS	Cons. (CY)	GS	Cons. (CY)	GS	Cons. (CY)
Global	2.9	2.9	2.9	2.7	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6	2.6
US	2.5	2.1	2.9	2.0	2.1	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3
China	4.7	4.7	4.8	4.9	4.7	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Euro area	1.4	1.4	1.2	1.4	1.3	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2	1.2
Commodities																
Credit																
Equities																
Wage Tracker 2025 (%)																
CPI Unemp. Rate (%)																
Q1 Q2 Q3 Q4																
US	3.13	3.23	3.13	3.33	3.13	3.33	3.13	3.33	3.13	3.33	3.13	3.33	3.13	3.33	3.13	3.33
Euro area	2.00	1.93	2.00	2.20	2.00	2.20	2.00	2.20	2.00	2.20	2.00	2.20	2.00	2.20	2.00	2.20
China	1.20	1.34	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10	1.10
Japan	1.00	1.22	1.50	1.60	1.50	1.60	1.50	1.60	1.50	1.60	1.50	1.60	1.50	1.60	1.50	1.60

Source: Bloomberg, Goldman Sachs Global Investment Research. For important disclosures, see the Disclosure Appendix or go to www.gs.com/research/hedge.html.

Glossary of GS proprietary indices

Current Activity Indicator (CAI)

GS CAIs measure the growth signal in a broad range of weekly and monthly indicators, offering an alternative to Gross Domestic Product (GDP). GDP is an imperfect guide to current activity: In most countries, it is only available quarterly and is released with a substantial delay, and its initial estimates are often heavily revised. GDP also ignores important measures of real activity, such as employment and the purchasing managers' indexes (PMIs). All of these problems reduce the effectiveness of GDP for investment and policy decisions. Our CAIs aim to address GDP's shortcomings and provide a timelier read on the pace of growth.

For more, see our CAI page and Global Economics Comment: Technical Updates to Our Global CAIs.

Dynamic Equilibrium Exchange Rates (DEER)

The GSDEER framework establishes an equilibrium (or "fair") value of the real exchange rate based on relative productivity and terms-of-trade differentials.

For more, see our GSDEER page, Global Economics Paper No. 227: Finding Fair Value in EM FX, 26 January 2016, and Global Markets Analyst: A Look at Valuation Across G10 FX, 29 June 2017.

Financial Conditions Index (FCI)

GS FCIs gauge the "looseness" or "tightness" of financial conditions across the world's major economies, incorporating variables that directly affect spending on domestically produced goods and services. FCIs can provide valuable information about the economic growth outlook and the direct and indirect effects of monetary policy on real economic activity.

FCIs for the G10 economies are calculated as a weighted average of a policy rate, a long-term risk-free bond yield, a corporate credit spread, an equity price variable, and a trade-weighted exchange rate; the Euro area FCI also includes a sovereign credit spread. The weights mirror the effects of the financial variables on real GDP growth in our models over a one-year horizon. FCIs for emerging markets are calculated as a weighted average of a short-term interest rate, a long-term swap rate, a CDS spread, an equity price variable, a trade-weighted exchange rate, and—in economies with large foreign-currency-denominated debt stocks—a debt-weighted exchange rate index.

For more, see our FCI page, Global Economics Analyst: Our New G10 Financial Conditions Indices, 20 April 2017, and Global Economics Analyst: Tracking EM Financial Conditions – Our New FCIs, 6 October 2017.

Goldman Sachs Analyst Index (GSAI)

The US GSAI is based on a monthly survey of GS equity analysts to obtain their assessments of business conditions in the industries they follow. The results provide timely "bottom-up" information about US economic activity to supplement and cross-check our analysis of "top-down" data. Based on analysts' responses, we create a diffusion index for economic activity comparable to the ISM's indexes for activity in the manufacturing and nonmanufacturing sectors.

Macro-Data Assessment Platform (MAP)

GS MAP scores facilitate rapid interpretation of new data releases for economic indicators worldwide. MAP summarizes the importance of a specific data release (i.e., its historical correlation with GDP) and the degree of surprise relative to the consensus forecast. The sign on the degree of surprise characterizes underperformance with a negative number and outperformance with a positive number. Each of these two components is ranked on a scale from 0 to 5, with the MAP score being the product of the two, i.e., from -25 to +25. For example, a MAP score of +20 (5;+4) would indicate that the data has a very high correlation to GDP (5) and that it came out well above consensus expectations (+4), for a total MAP value of +20.

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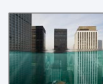
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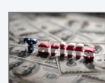
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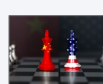
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Reg AC

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